By-Laws of the Association of Apartment Owners of Nā Hale O Mākena

Consolidated & Restated By-Laws — (after 2022 Amendment) — WORKING CONSOLIDATION

⚠ NOT CITATION AUTHORITY

This document is a working consolidation and must not be cited as authority. The citation authority for the NHOM By-Laws is the **recorded original By-Laws (Doc No. 2000-166796) together with each recorded amendment, read separately.** This consolidation has not been approved by the Board, executed by the officers, or recorded. It is provided to make the amended text readable in one place; where it differs from a recorded instrument, **the recorded instrument governs.**

Sets forth the By-Laws of the Association of Apartment Owners of Nā Hale O Mākena as amended through the **2022 Amendment**, prepared as a faithful consolidation under HRS §514B-109(a) (no substantive change). **Not an executed or recorded instrument** (see Certification and Supersession at end).

Amended provisions are marked inline with the instrument that amended them, so any provision can be traced back to its recording. The four amended provisions are §3.3, §8.3(g), §8.7(f)(i), and §10.7.

Documents incorporated (recording order): 1. By-Laws — Bureau of Conveyances Doc No. 2000-166796 (recorded November 20, 2000) 2. First Amendment — Doc No. 2001-096485 (recorded June 26, 2001) — amended §8.3(g), §8.7(f)(i) 3. Amendment — Doc No. A-72430789 (recorded October 31, 2019) — amended §10.7 (Animals) 4. Amendment — Doc No. A-80670873 (recorded February 1, 2022) — amended §3.3 (Electronic Meetings)

Prepared 2026-06-02 from verbatim transcriptions of the recorded instruments. Annotated 2026-07-26: citation-authority notice added and inline amendment provenance added at the four amended provisions. No operative text was altered on either date.

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> BY-LAWS OF THE ASSOCIATION OF APARTMENT OWNERS OF NĀ HALE O MĀKENA

Sheets 2–5 — Table of Contents

BY-LAWS OF THE ASSOCIATION OF APARTMENT OWNERS OF NĀ HALE O MĀKENA

WHEREAS, MAKENA ESTATES L.L.C., a Hawaii limited liability company (the "Developer"), with its principal place of business and mailing address at 3620 Baldwin Avenue, Suite 107, Makawao, Maui, Hawaii 96768, is the owner in fee simple of the land described in Exhibit "A" attached hereto and made a part hereof (the "Land"); and

WHEREAS, the Developer intends to develop the Land and the improvements thereon as a condominium project known as "Nā Hale O Mākena" (the "Project") in accordance with plans recorded in the State of Hawaii Bureau of Conveyances as Condominium Map No. 3026 (the "Condominium Map"); and

WHEREAS, the Developer has submitted all of its interest in the Land and all improvements thereon to a Condominium Property Regime as established by Chapter 514A, Hawaii Revised Statutes, as amended (the "Act"), by Declaration of Condominium Property Regime dated November 20, 2000, recorded in the Bureau concurrently herewith (such Declaration of Condominium Property Regime, as the same may be amended from time to time, is hereinafter referred to as the "Declaration"); and

NOW, THEREFORE, the Developer hereby declares that the Land, and all improvements thereon are and shall be held, conveyed, mortgaged, encumbered, leased, rented, used, occupied and improved subject to the Declaration and to the following By-Laws of the Association of Apartment Owners of Nā Hale O Mākena, as the same may be lawfully amended from time to time (the "By-Laws"), all of which are declared to be in furtherance of the plan set forth in the Declaration and are established for the purpose of enhancing and perfecting the value, desirability and attractiveness of the Project. These By-Laws shall constitute covenants running with the Land and shall be binding upon and inure to the benefit of the Developer, its successors and assigns, and all present and future Apartment Owners, mortgagees, tenants, and occupants of the Apartments and any other person who may use any part of the Project.

ARTICLE I — DEFINITIONS

SECTION 1.1 Definitions

The terms used in these By-Laws shall have the meanings given to them in the Act or the Declaration, except as expressly provided otherwise below.

"Act" is defined on page 1.

"Apartment" refers to each condominium Apartment identified in and created under the Declaration.

"Apartment Deed" refers to the recorded deed of an Apartment from the Developer to an Apartment Owner.

"Apartment Owner" or "Owner" means any apartment owner as defined in the Declaration.

"Association" means the Association of Apartment Owners of the Project. The name of the Association is the "Association of Apartment Owners of Nā Hale O Mākena."

"Board of Directors" or "Board" means the Board of Directors of the Association.

"Condominium Map" is defined on page 1.

"common elements" means those parts of the Project designated in the Declaration as common elements, including the limited common elements.

"Declaration" is defined on page 1.

"Developer" is MAKENA ESTATES L.L.C. or its successor in interest as "Declarant" under the Declaration.

"Land" is defined on page 1.

"limited common elements" means those parts of the Project designated in the Declaration as limited common elements.

"majority of Apartment Owners" has the meaning given to such term in Section 3.7 of these By-Laws.

"Mortgagee of an Apartment" or "Apartment Mortgagee" means the holder of a mortgage encumbering the fee title to, or any recorded leasehold interest in, an Apartment.

"Occupant" means an Apartment Owner or any other person who occupies or uses an Apartment or any part of the Project, including, but not limited to, an Apartment Owner's family, tenants, invitees and guests.

"Project" means and includes the Land and all improvements now or hereafter placed thereon.

"Record", "recorded" or "recordation" means to record or to be recorded in the State of Hawaii Bureau of Conveyances.

"Rules and Regulations" means the rules and regulations referred to in the Declaration and adopted pursuant to these By-Laws, as the same may be amended from time to time, governing the details of the operation and use of the Project, and certain details regarding the use of the Apartments.

ARTICLE II — APPLICATION AND ENFORCEMENT

SECTION 2.1 Administration and Operation

The administration and operation of the Project shall be governed by the Declaration, these By-Laws, the Act and all other applicable laws.

SECTION 2.2 Personal Application

All present and future Owners, mortgagees, tenants and occupants of Apartments and their guests and employees, and any other person who may use the Project in any manner are subject to these By-Laws, the Declaration, the Rules and Regulations, as each may be amended from time to time. The acceptance of any Apartment Deed, conveyance, mortgage or similar instrument, or the acquisition of any interest in the Project, or the entry into or the act of occupancy of an Apartment, shall constitute an agreement that the provisions of these By-Laws, the Declaration, the Rules and Regulations are accepted, ratified and shall be complied with.

SECTION 2.3 Compliance with Declaration, By-Laws, Rules and Regulations

Each Apartment Owner, such Apartment Owner's employees, tenants, guests, invitees, and any other persons using the Project shall comply strictly with the covenants, conditions and restrictions set forth in the Declaration, these By-Laws and the Rules and Regulations. Each Apartment Owner is fully responsible for ensuring that all employees, tenants, guests, and invitees of the Apartment Owner comply strictly with such covenants, conditions and restrictions, and shall be personally liable for any such non-compliance. Failure to comply with any of the same shall be grounds for an action to recover sums due, for damages or injunctive relief, or both, maintainable by the managing agent or Board of Directors on behalf of the Association or, in a proper case, by an aggrieved Apartment Owner.

SECTION 2.4 Attorneys' Fees and Expenses of Enforcement

All costs and expenses, including reasonable attorneys' fees, incurred by or on behalf of the Association for:

(1) Collecting any delinquent assessments against any Owner's Apartment;

(2) Foreclosing any lien thereon;

(3) Enforcing any provision of the Declaration, these By-Laws, the Rules and Regulations, the Act or the rules and regulations of the Real Estate Commission,

against an Apartment Owner, such Apartment Owner's employees, tenants, guests, or invitees, shall be promptly paid on demand by such Apartment Owner to the Association; provided that if the claims upon which the Association takes any action are not substantiated, all costs and expenses, including reasonable attorneys' fees, incurred by such Apartment Owner as a result of the action of the Association, shall be promptly paid on demand to such Apartment Owner by the Association.

If any claim by an Owner is substantiated in any action against the Association, any of its officers or the Board of Directors to enforce any provision of the Declaration, these By-Laws, the Rules and Regulations or the Act, then all reasonable and necessary expenses, costs and attorneys' fees incurred by such Owner shall be awarded to such Owner; provided that no such award shall be made in any derivative action unless:

(1) The Owner first shall have demanded and allowed reasonable time for the Board of Directors to pursue such enforcement; or,

(2) The Owner demonstrated to the satisfaction of the court that a demand for enforcement made to the Board of Directors would have been fruitless.

SECTION 2.5 Conflicts

These By-Laws are set forth to comply with the requirements of the Act. In case any of these By-Laws conflict with the Act or the Declaration, the provisions of the Act or the Declaration, as the case may be, shall control.

ARTICLE III — THE ASSOCIATION

SECTION 3.1 Qualifications for Membership

All Apartment Owners of the Project shall constitute the Association. The Owner of any Apartment upon acquiring title thereto shall automatically become a member of the Association and shall remain a member thereof until such time as his ownership of such Apartment ceases for any reason, at which time his membership in the Association shall automatically cease. Notwithstanding anything to the contrary provided herein, the Developer shall be entitled to vote and act on all matters as the Association and the Board of Directors until such time as the first meeting of the Association. Thereafter, the Developer, as the owner of any unsold Apartments, shall be entitled to vote the interest of each such Apartment.

SECTION 3.2 Powers of the Association

The Association shall have all of the powers with respect to the operation and regulation of the Project conferred upon the Association by, or which may be conferred upon the association of apartment owners of a condominium project pursuant to the provisions of, the Act, including without limiting the generality of the foregoing:

(a) The election of a Board of Directors.

(b) The management, maintenance, acquisition, construction and care of the Association property. As used herein, the term "Association property" includes the common elements of the Project, property held by the Association, property commonly held by its members, property within the Project privately held by its members but which may be subject to a common maintenance assessment by the Association for such purposes as insurance, and property owned by any governmental agency or private or public utility and used for the benefit of the Association's members.

(c) The collection of common expenses from the owners.

(d) The designation and removal of personnel necessary for the maintenance, repair and replacement of the common elements.

(e) The establishment of such restrictions and requirements not inconsistent with the Declaration, the Act or these By-Laws regarding the use and maintenance of the apartments and the use of the common elements.

(f) The amendment of these By-Laws in accordance with the Declaration, Section 10.2 hereof and the Act.

(g) Any and all powers not inconsistent with any law or the Declaration, which are reasonably incidental to the fulfillment of the purposes of the Condominium Property Regime set forth in the Declaration, or are reasonably incidental to the exercise of the Association's powers as set forth in the Declaration or herein.

Nothing in this Section 3.2 shall prohibit the delegation by the Association of any of its powers in accordance with these By-Laws, as amended from time to time.

SECTION 3.3 First Meeting; Annual Meetings

The first annual meeting of the Association shall be held upon the call of the Developer not later than one hundred eighty (180) days after recordation of the first Apartment conveyance, provided forty percent (40%) or more of the Project has been sold and recorded. If forty percent (40%) of the Project have not been sold and recorded, at the end of one year after the first Apartment conveyance, an annual meeting shall be called, provided ten percent (10%) of the Apartment Owners so request. Thereafter, the annual meetings of the Association shall be held within three (3) calendar months following the end of the fiscal year selected by the Board, and if the annual meeting date for any year shall not be held or called within said period, then the annual meeting for such year shall be held on the first weekday or Saturday of the fourth calendar month following the end of the fiscal year selected by the Board. At such annual meetings, including the first annual meeting, the Board of Directors shall be elected by ballot of the Apartment Owners in accordance with Article IV, Section 4.3 of these By-Laws. The Apartment Owners may transact such other business at such meetings as may properly come before them.

Notwithstanding anything to the contrary in these By-Laws, if authorized by the Board of Directors, the Apartment Owners or proxies of Apartment Owners may participate at an annual or special meeting of the Apartment Owners by means of the Internet, teleconference, or other electronic transmission technology ("Electronic Meeting") in a manner that allows attendees the opportunity to (a) read or hear the proceedings substantially concurrently with the occurrence of the proceedings; (b) vote on matters submitted to the Apartment Owners including: election of directors, provided that votes may be verified by at least one owner not running for election or related to a person running for election who is appointed as a tally clerk; (c) pose questions; and (d) make comments. An owner or proxy of an owner participating in an Electronic Meeting shall be deemed to be present in person at the meeting. The Board may implement reasonable measures to conduct the meeting and to verify that each person deemed present and permitted to vote at the Electronic Meeting is an owner or proxy of an owner. Votes cast at an Electronic Meeting shall not be required to be secret and may be cast by voice vote, roll call vote, directed proxy, written consent, or ballot in accordance with rules established by the Board of Directors.

[Paragraph added by Amendment, Bureau of Conveyances Doc No. A-80670873, recorded February 1, 2022. Cite the recorded original and that amendment, not this consolidation.]

SECTION 3.4 Place of Meetings

All meetings of the Association shall be held at the address of the Project, or elsewhere within the State of Hawaii convenient to the Apartment Owners as determined by the Board of Directors.

SECTION 3.5 Method of Calling Special Meetings

Except as otherwise provided herein, special meetings of the Association shall be held at any time upon the call of the President or any two (2) Directors or upon written request signed by at least twenty-five percent (25%) of the Apartment Owners and presented to the Secretary. Upon the receipt of such call or written request, the Secretary shall send written notice of the meeting to all Apartment Owners and the meeting shall be held no earlier than fourteen (14) and no later than sixty (60) days from the receipt of such call or written request, at such time, date, and place as shall be determined by the Board.

SECTION 3.6 Notice of Meetings

Written notice of all Association meetings, whether annual or special, shall be given to each Apartment Owner at least fourteen (14) days but not more than ninety (90) days prior to the meeting, in any of the following ways: (a) by delivering it personally to the Apartment Owner, or (b) if the Apartment Owner resides in the Project, by leaving it at such Apartment Owner's Apartment in the Project, or (c) by mailing it, postage prepaid, addressed to the Apartment Owner at the address of such Owner as it appears on the Association's record of ownership. The written notice of meeting shall contain at least: the date, time and place of the meeting, the items on the agenda for the meeting, and a standard proxy form authorized by the Association, if any. Upon notice being given in accordance with the provisions of this Section, the failure of any member of the Association to receive actual notice of any meeting shall not in any way invalidate the meeting or proceedings thereat. The presence of an Apartment Owner or Apartment mortgagee in person or by proxy at any meeting shall be deemed a waiver of any required notice to such Owner or Apartment Mortgagee unless such Owner or Apartment Mortgagee shall at the opening thereof object to the holding of such meeting because of the failure to give notice in accordance with the provisions thereof.

SECTION 3.7 Quorum

At all meetings of the Association, the presence in person or by proxy of a majority of Apartment Owners shall constitute a quorum, and the acts of a majority of the Apartment Owners present in person or by proxy at any meeting of the Association at which a quorum is present shall be binding upon all Apartment Owners for all purposes, except as otherwise provided in the Declaration or in these By-Laws. The term "majority of Apartment Owners" herein means the Owners of Apartments to which are appurtenant more than fifty percent (50%) of the common interests of the Project, and any other specified percentage of Apartment Owners means the Owners of Apartments to which are appurtenant such specified percentage of the common interests.

SECTION 3.8 Voting

Voting shall be on a percentage basis, and the percentage of the total vote to which each Apartment is entitled shall be the percentage of the common interests assigned to such Apartment pursuant to the Declaration. Votes may be cast in person or by proxy by the Apartment Owners. A personal representative, guardian or trustee may vote in person or by proxy at any meeting of the Association the vote for any Apartment owned or controlled by him in such capacity, provided that prior to such meeting he shall first present evidence satisfactory to the Board of Directors that he owns or controls such Apartment in such capacity. The vote for any Apartment owned by two or more persons may be exercised by any one of them present at any meeting in the absence of protest by the other or others, and, in case of protest, the entire vote allocated to such Apartment shall not be counted.

SECTION 3.9 Proxies and Pledges

(a) No resident manager or managing agent shall solicit, for use by the resident manager or managing agent, any proxies from any Apartment Owner, nor shall the resident manager or managing agent cast any proxy vote at any Association meeting except for the purpose of establishing a quorum. If the Board of Directors intends to use Association funds to distribute proxies it shall first post notice of its intent to distribute proxies in prominent locations within the Project at least thirty (30) days prior to its distribution of proxies; provided that if the Board of Directors receives within seven (7) days of the posted notice a request by any Owner for use of Association funds to solicit proxies accompanied by a statement, the Board of Directors shall mail to all Owners either:

(i) A proxy form containing either the name of all Owners who have requested the use of Association funds for soliciting proxies accompanied by their statements; or

(ii) A proxy form containing no names, but accompanied by a list of names of all Owners who have requested the use of Association funds for soliciting proxies and their statements.

The statement shall not exceed one hundred words, indicating the Owner's qualifications to serve on the Board of Directors and reasons for wanting to receive proxies.

(b) The authority given by the Apartment Owner to another person to represent him at meetings of the Association shall be in writing. A proxy, to be valid, must: (i) be delivered to the Secretary or the managing agent no later than 4:30 p.m. on the second business day prior to the date of the meeting to which it pertains; (ii) contain at least the name of the Association, the date of the meeting of the Association, the printed name and signature of the person or persons giving the proxy, the apartment or apartments for which the proxy is given, and the date that the proxy is given; (iii) contain boxes wherein the owner has indicated that the proxy is given: (A) for quorum purposes only; (B) to the individual whose name is printed on a line next to this box; (C) to the Board of Directors as a whole and that the vote be made on the basis of the preference of the majority of the Board; or (D) to those directors present at the meeting and the vote to be shared with each Board member receiving an equal percentage.

(c) A proxy shall only be valid for the meeting to which the proxy pertains and its adjournments, may designate any person as proxy, and may be limited as the owner desires and indicates; provided that no proxy shall be irrevocable unless coupled with a financial interest in the applicable Apartment.

(d) No officer of the Board of Directors shall use Association funds to solicit proxies; provided that this shall not prevent any officer from exercising his right as an Apartment Owner under Section 514A-82(b)(4) of the Act.

(e) Voting rights transferred or pledged by mortgage, deed of trust or agreement of sale of any Apartment or interest therein, a copy of which is filed with the Board of Directors, shall be exercised only by the person designated in such instrument until the written release or other termination thereof is filed with the Board of Directors. Nothing in subsections (b), (c) or (d) of this Section 3.9 shall affect the holder of any proxy under a first mortgage of record or under an agreement of sale of any Apartment or interest therein. Any one of two or more persons owning any Apartment may give or revoke a proxy for the entire vote of such Apartment. No proxy may be given by a co-Owner or co-Owners for only a share of an Apartment's vote. Any proxy given by a co-Owner or co-Owners of an Apartment may be exercised to cast the entire vote for such Apartment in the absence of protest by another co-Owner or the holder of a proxy from another co-Owner, and, in case of such protest, the entire vote allocated to such Apartment shall not be counted.

(f) The Board of Directors shall not adopt any rule prohibiting the solicitation of proxies or distribution of materials relating to Association matters on the common elements by apartment owners; provided the Board of Directors may adopt rules regulating reasonable time, place, and manner of such solicitations or distributions, or both. The Board of Directors may prohibit commercial solicitations.

(g) A copy, facsimile telecommunication, or other reliable reproduction of a proxy may be used in lieu of the original proxy for any and all purposes for which the original proxy could be used; provided that any copy, facsimile telecommunication, or other reproduction shall be a complete reproduction of the entire original proxy.

SECTION 3.10 Adjournment of Meetings

Any meeting of the Association may from time to time be adjourned to a time not less than forty-eight (48) hours from the time the original meeting was called as may be determined by a majority of the Apartment Owners present, without any further notice other than the announcement at such meeting. If a quorum is present upon reconvening such adjourned meeting, any business may be transacted which might have been transacted by a quorum at the meeting as originally called.

SECTION 3.11 Order of Business

The order of business at all Association meetings shall be generally as follows:

(a) Roll call;

(b) Proof of notice of meeting;

(c) Reading of minutes of preceding meeting (unless waived by vote of a majority of the Association members present at such meeting);

(d) Reports of officers;

(e) Report of Board of Directors;

(f) Reports of committees;

(g) Election of members of the Board of Directors (when so required);

(h) Unfinished business; and

(i) New business.

SECTION 3.12 Conduct of Association Meetings

All meetings of the Association shall be conducted in accordance with the most current edition of Robert's Rules of Order.

SECTION 3.13 Registration of Association

The Association shall comply with the requirements of Section 514A-95.1 of the Act.

ARTICLE IV — BOARD OF DIRECTORS

SECTION 4.1 Powers and Duties

The affairs of the Association, except as otherwise provided by the Act, the Declaration, or these By-Laws, shall be conducted and managed by a Board of Directors. Each Director shall owe the Association a fiduciary duty in the performance of the Director's responsibilities. Pursuant to Section 6.2 of these By-Laws, the Board may employ a responsible corporate managing agent with such powers and duties of the Board as shall be delegated by the Board.

SECTION 4.2 Number; Qualification; and Compensation

(a) The Board of Directors shall initially be constituted of five (5) persons. This number may be changed from time to time by vote of the Association provided that the number of Directors shall at no time be less than five (5) nor more than nine (9). Each Director shall be an Owner, co-Owner, vendee under an agreement of sale, an officer of any corporate Owner of an Apartment, a partner of any partnership Owner, a member of any limited liability company Owner or, in the case of fiduciary owners, the fiduciary or officers of corporate fiduciaries. The partners in a general partnership, the general partners of a limited partnership and the members of a limited liability company shall be deemed to be the Owners of an Apartment for this purpose.

(b) There shall be no more than one representative on the Board of Directors from any one Apartment.

(c) No resident manager of the Project shall serve on the Board of Directors.

(d) No member of the Board of Directors shall receive any compensation from the Association for acting as such, but may be reimbursed for actual expenses incurred in the course of acting as such Director.

SECTION 4.3 Method of Electing the Board

Election of Directors shall be by cumulative voting by secret ballot at each annual meeting of the Association and any special meeting called for that purpose. Anything contained herein to the contrary notwithstanding, at the first election of Directors, and thereafter for so long as a majority of the Apartment Owners is held by the Developer, no less than twenty percent (20%) of the Directors shall be elected solely by the vote of Apartment Owners other than the Developer.

SECTION 4.4 Term of Office

At the first annual meeting of the Apartment Owners, the term of office of the two (2) members of the Board receiving the greatest number of votes shall be fixed at three (3) years, the term of office of the two (2) members of the Board receiving the third and fourth greatest numbers of votes shall be fixed at two (2) years, and the term of office of the other (1) member of the Board receiving the next greatest number of votes shall be fixed at one (1) year. In the event that the number of directors increases by vote of the Association, the initial terms of the four (4) members of the Board receiving the four (4) greatest numbers of votes shall be as provided in this Section (that is, three (3) years for the two members with the greatest number of votes, and two (2) years for the two members with the third and fourth greatest numbers of votes), and all remaining members shall have initial terms of one (1) year. After the expiration of the term of office of each of the initial members, each successor member of the Board shall be elected to serve for a term of two (2) years. Each member of the Board shall continue to exercise the powers and duties of the office until his successor shall have been elected by the Apartment Owners.

SECTION 4.5 Removal of Directors

At any regular or special meeting of Apartment Owners, any one or more of the members of the Board of Directors may be removed with or without cause by the Apartment Owners and a successor shall then and there be elected for the remainder of the term to fill the vacancy thus created; provided, however, that a Director elected solely by the votes of Apartment Owners other than the Developer, pursuant to Section 4.3 of these By-Laws, may be removed from office prior to the expiration of his term only by the vote of Apartment Owners other than the Developer; and provided, further, that an individual Director shall not be removed (unless the entire Board is removed) if Owners having sufficient votes to elect one Director by cumulative voting present at such meeting shall vote against his removal. A member of the Board of Directors whose removal is proposed by the Apartment Owners shall be given an opportunity to be heard at the meeting. If such removal and replacement is to occur at a special meeting, the call for such meeting shall be by the President or by a petition to the Secretary or managing agent signed by not less than twenty-five percent (25%) of the Apartment Owners as shown in the Association's record of ownership; provided that if the Secretary or managing agent does not send out the notices for the special meeting within fourteen (14) days of receipt of the petition, the petitioners shall have the authority to set the time, date and place for the special meeting and to send out notices for the special meeting in accordance with the requirements for notice contained herein. Except as otherwise provided in the Act, the special meeting for the removal from office and replacement of Directors shall be scheduled, noticed and conducted in accordance with these By-Laws. In addition, if any Director shall fail to attend four (4) consecutive meetings of the Board for any reason, the Board, by a vote of a majority of the other members, may remove him and select a replacement to serve his unexpired term.

SECTION 4.6 Annual Meetings

The Board of Directors shall meet at least once a year. Each annual meeting of the Board of Directors shall be held at the place of and immediately following each annual meeting of the Association. At such meeting the Board shall elect the officers of the Association for the ensuing year. The first meeting of the first elected Board shall be held at the place of and immediately following the first annual meeting of the Association as provided in Section 3.3 of these By-Laws.

SECTION 4.7 Proxy Vote

A Director shall not cast any proxy vote at any Board meeting.

SECTION 4.8 Conflict of Interest

A Director shall not vote at any Board meeting on any issue in which the Director has a conflict of interest. If there is any disagreement as to whether or not there exists a conflict of interest, the determination of whether a conflict of interest exists as to a particular Director or Directors shall be made by a majority of the non-interested Directors, which determination shall be conclusive and binding on all parties.

SECTION 4.9 Disclosure of Conflict

A Director who has a conflict of interest on any issue before the Board shall disclose the nature of the conflict of interest prior to a vote on that issue at the Board meeting, and the minutes of the meeting shall record the fact that a disclosure was made.

SECTION 4.10 Board Meetings

All meetings of the Board of Directors shall be conducted in accordance with the most current edition of Robert's Rules of Order. All meetings of the Board of Directors, other than executive sessions, shall be open to all members of the Association, and Association members who are not on the Board of Directors may participate in any deliberation or discussion of the Board of Directors unless a majority of a quorum of the Board of Directors votes otherwise. The Board of Directors, with the approval of a majority of a quorum of its members, may adjourn a meeting and reconvene in executive session to discuss and vote upon personnel matters or litigation in which the Association is or may become involved. The nature of any and all business to be considered in executive session shall first be announced in open session. Minutes of an executive session may, in the discretion of the board, be taken or not; but if they are taken they shall be maintained in a confidential file (consistently with maintaining the attorney-client privilege as to all legal matters).

SECTION 4.11 Regular Meetings

Regular meetings of the Board of Directors may be held at the address of the Project, or elsewhere within the State of Hawaii and at such time as shall be determined from time to time by the Board of Directors. Unless the Board of Directors determines otherwise, meetings shall be held quarterly; provided, however, that at least two (2) regular meetings, in addition to the annual meeting of the Board, shall be held during each fiscal year. Notice of the time and place for each regular meeting of the Board of Directors shall be given to each member of the Board of Directors in writing at least ten (10) business days prior to the day named for such meeting.

SECTION 4.12 Special Meetings

Special meetings of the Board of Directors may be called by the President or any two (2) Directors on three (3) business days written notice to each member of the Board of Directors, which notice shall state the time, place and purpose of the meeting.

SECTION 4.13 Notice of Board Meetings

Whenever practicable, notice of all Board meetings shall be posted by the resident manager or a member of the Board in prominent locations within the Project seventy-two (72) hours prior to the meeting or simultaneously with notice to the Board. If posting is not practicable, notice of Board meetings shall be given to the Owners by the resident manager or the Board at least seventy-two (72) hours prior to the meeting in such manner as the Board deems appropriate under the circumstances.

SECTION 4.14 Waiver of Notice

Any member of the Board of Directors may at any time waive notice of any meeting of the Board and such waiver shall be deemed equivalent to the timely receipt of such notice. Attendance by a member of the Board of Directors at any meeting of the Board of Directors shall constitute a waiver of notice by him of the time and place thereof. If all the members of the Board of Directors are present at any meeting of the Board, no notice shall be required, and any business may be transacted at such meeting.

SECTION 4.15 Minutes of Meetings

The minutes of meetings of the Board of Directors shall include the recorded vote of each member of the Board of Directors on all motions except motions voted on in executive session.

SECTION 4.16 Travel Expenses

(a) Directors shall not expend Association funds for their travel, directors' fees, and per diem, unless the Owners are informed and a majority of the Apartment Owners approve of these expenses.

(b) Members of the Board may expend Association funds, which shall not be deemed to be compensation to the directors, to educate and train themselves in subject areas directly related to their duties and responsibilities as directors; provided that the approved annual operating budget include these expenses as separate line items. These expenses may include registration fees, books, videos, tapes, other educational materials, and economy travel expenses. Except for economy travel expenses within the State of Hawaii, all other travel expenses incurred under this subsection 4.16(b) of these By-Laws shall be subject to the requirements of subsection 4.16(a).

SECTION 4.17 Decisions of Board of Directors

At all meetings of the Board of Directors, a majority of the members thereof shall constitute a quorum of the transaction of business. The vote or written consent of a majority of Directors present at a meeting at which a quorum of Directors is present shall constitute the decision of the Board. If at any meeting of the Board there shall be less than a quorum present, a majority of those present may adjourn the meeting from time to time. Following such adjournment, at any reconvened meeting at which a quorum is present, any business which might have been transacted at the meeting originally called may be transacted without further notice.

SECTION 4.18 Vacancies

Vacancies in the Board of Directors caused by any reason other than the removal of a member thereof by a vote of the Apartment Owners shall be filled by a vote of a majority of the remaining members at a special meeting of the Board at which a majority of the remaining members are present, called for that purpose promptly after the occurrence of any such vacancy, even though the members present at such meeting may constitute less than a quorum. Each person so elected shall hold office until the next annual meeting of the Association, at which time a successor Director shall be elected by the Apartment Owners. Any successor Director elected by the Apartment Owners in the foregoing manner shall serve for the remaining unexpired term in respect of which the vacancy occurred.

SECTION 4.19 Liability and Indemnity of the Board of Directors and Officers

The members of the Board of Directors and the officers of the Association shall not be liable to the Association or any of the Apartment Owners for any mistake of judgment or otherwise except for their own gross negligence or willful misconduct. The Association may, upon request of any Director or officer, obtain and maintain, as a common expense, a policy of directors' and officers' liability insurance covering the Directors and officers of the Association and shall indemnify each Director and officer of the Association against all costs, expenses and liabilities, including judgments, amounts paid in compromise settlements and amounts paid for services of counsel and other related expenses which may be incurred by, or imposed on him in connection with any claim, action, suit, proceeding, investigation or inquiry hereafter made, instituted or threatened in which he may be involved as a party or otherwise by reason of his being or having been such Director or officer, or his having on any part or future action taken, authorized or approved by him or any omission to act as such Director or officer, whether or not he continues to be such Director or officer at the time of the incurring or imposition of such costs, expenses or liabilities, but not including such costs, expenses or liabilities as shall relate to matters as to which he shall in such action, suit or proceeding be finally adjudged to be, or shall be, liable by reason of his gross negligence or willful misconduct toward the Association in the performance of his duties as such Director or officer. Reference to a person acting as "Director or officer" herein shall be construed to include all actions or omissions by said person in any official capacity. The foregoing right of indemnification shall not be exclusive of other rights which any Director or officer may have and shall inure to the benefit of the heirs and personal representatives of each Director and officer.

SECTION 4.20 Fidelity Bonds

A managing agent employed or retained by the Board of Directors shall provide evidence of a fidelity bond in an amount not less than the minimum amount required by law. In addition, the Board of Directors shall obtain annually, as a common expense, a fidelity bond or bonds, in an amount not less than the

minimum amount required by law, to cover all officers, directors, employees and managing agents of the Association who handle the Association's funds. To the extent reasonably obtainable, the bonds shall: (a) provide that the bonds may not be canceled or substantially modified (including cancellation for non-payment of premiums) without at least thirty (30) days prior written notice to the Board and all Apartment mortgagees and every other person in interest who shall have in writing requested such notice, and (b) contain a waiver of defense based upon the exclusion of persons who serve without compensation from any definition of "employee" or similar expression.

SECTION 4.21 Inspection by Directors; Copies of Documents.

Every Director shall have the absolute right at any reasonable time to inspect all books, records, and documents of the Association and the physical properties owned or controlled by the Association. This right of inspection by a Director includes the right to make extracts and copies of documents.

SECTION 4.22 Telephone Meetings.

Any other provision of these By-Laws notwithstanding, at any regular or special meeting of the Board at which at least one (1) Board member is physically present, whether held in open or executive session, any member of the Board not physically present may participate in such meeting by telephone, for purposes of constituting a quorum and for all other purposes, and the Board may carry on all business within the Board's authority as if all members participating by telephone were physically present at such meeting; provided, however, that all persons authorized to participate in and actually participating in such meeting (including members of the Association who are not on the Board and who may participate pursuant to Section 514A-83.1(a) of the Act) are at all times during such meeting able to hear and, when appropriate, be heard by all other participants.

SECTION 4.23 Action By Directors Without Meeting.

Any action required or permitted to be taken at any meeting of the directors or of a committee of the directors may be taken without a meeting if all of the directors or all of the members of the committee, as the case may be, sign a written consent setting forth the action taken or to be taken at any time before or after the intended effective date of such action. Such consent shall be filed with the minutes of the directors' meetings or committee meetings as the case may be and shall have the same effect as a unanimous vote.

ARTICLE V — OFFICERS

SECTION 5.1 Election and Term of Office.

The officers of the Association shall be the President, the Secretary and the Treasurer, all of whom shall be elected by and from among the Board of Directors. The Board of Directors may designate and elect such other officers as in its judgment may be necessary. The officers of the Association shall be elected annually by the Board of Directors and shall hold office at the pleasure of the Board of Directors.

SECTION 5.2 Restriction on Qualification.

An Owner shall not act both as an officer of the Association and as an employee of the managing agent employed by the Association, if any.

SECTION 5.3 President.

The President shall be the chief executive officer of the Association. He shall preside at all meetings of the Association and of the Board of Directors. He shall have all of the general powers and duties which are incident to the office of President of a corporation organized under the laws of the State of Hawaii, including, but not limited to, the power to appoint committees from among the Apartment Owners from time to time as me may in his discretion decide to be appropriate to assist in the conduct of the affairs of the Association. In absence of, or disability of or refusal to perform the duties of the President, the Secretary shall perform all of the duties of the President.

SECTION 5.4 Secretary.

The Secretary shall keep the minutes of all meetings of the Association and of the Board of Directors. He shall see that all notices are given in accordance with these By-Laws. He shall have charge of such books and papers of the Association as the Board of Directors may direct. He shall, in general, perform all the duties incident to the office of Secretary of a corporation organized under the laws of the State of Hawaii. Duties of the Secretary may be delegated to and performed by the managing agent.

SECTION 5.5 Treasurer.

The Treasurer shall keep the financial records and books of account of the Association showing all receipts and disbursements, and shall be responsible for the preparation of all required financial data. He shall be responsible for the deposit of all moneys and other valuable effects of the Association in such depositories as shall be designated by the Board of Directors. He shall, in general, perform all the duties incident to the office of Treasurer of a corporation organized under the laws of the State of Hawaii. Duties of the Treasurer may be delegated to and performed by the managing agent or any outside accounting organization.

SECTION 5.6 Audits.

(a) The Association shall require an annual audit of the Association's financial accounts and no less than one annual unannounced verification of the Association's cash balance by a public accountant; provided that if the Association at any time consists of less than twenty (20) Owners, the annual audit and the annual unannounced cash balance verification may be waived by a majority vote of all Apartment Owners taken at an Association meeting.

(b) The Board of Directors shall make available a copy of the annual audit to each Apartment Owner at least thirty (30) days prior to the annual meeting which follows the end of the fiscal year. The Board shall provide upon all official proxy forms a box wherein the Owner may indicate that the Owner wishes to obtain a copy of the annual audit report. The Board shall not be required to submit a copy of the annual audit report to the Owner if the proxy form is not marked. If the annual audit has not been completed by that date, the Board shall make available:

(i) An unaudited year end financial statement for the fiscal year to each apartment owner at least thirty (30) days prior to the annual meeting; and

(ii) The annual audit to all Owners at the annual meeting, or as soon as the audit is completed, whichever occurs later.

If the Association's fiscal year ends less than two months prior to the convening of the annual meeting, the year to date unaudited financial statement may cover the period from the beginning of the Association's fiscal year to the end of the month preceding the date on which notice of the annual meeting is mailed.

SECTION 5.7 Removal of Officers.

Upon the affirmative vote of a majority of the members of the Board of Directors, any officer may be removed, with or without cause, and his successor elected at any regular meeting of the Board of Directors, or at any special meeting of the Board of Directors called for such purpose.

SECTION 5.8 Compensation of Officers.

No officer shall receive any compensation from the Association for acting as such, but may be reimbursed for actual expenses incurred in the course of acting as such officer.

SECTION 5.9 Agreements, Contracts, Deeds, Checks and Other Instruments.

All agreements, contracts, certificates, deeds, leases, checks and other instruments of the Association, including any amendments to these By-Laws, shall be signed by the President and one other officer of the Association, or such other person or persons as may be designated by the Board of Directors, provided that no officer, though he may hold more than one office, shall sign any instrument in more than one capacity.

ARTICLE VI — MANAGEMENT

SECTION 6.1 Management and Operation of the Project.

The Board of Directors shall at all times manage and operate the Project, including the common elements of the Project, and shall have the powers and duties necessary or proper therefor, and may do all acts and things except such as by law, the Declaration or these By-Laws may not be delegated to the Board of Directors by the Apartment Owners. Such powers and duties of the Board of Directors shall include, but shall not be limited to, the following:

(a) Operation, care, upkeep, replacement, repair and maintenance of the common elements and limited common elements as provided in the Declaration;

(b) Preparation annually of a budget of the common expenses required for the affairs of the Association (including, without limitation, the operation and maintenance of the Project) and determination of the amounts of monthly and special assessments;

(c) Levy and collection of monthly and special assessments of the common expenses and other charges payable by the Apartment Owners;

(d) Purchasing and maintaining of insurance pursuant to the Declaration and these By-Laws;

(e) Adoption and amendment of the Rules and Regulations, and enforcement of the Rules and Regulations, applicable provisions of the Declaration, these By-Laws and the Act;

(f) Opening of bank accounts on behalf of the Association and designating the signatories required therefor;

(g) Rebuilding, repairing and restoring the Project in accordance with the provisions of the Declaration and these By-Laws after damage or destruction by fire or other casualty or as a result of eminent domain proceedings;

(h) Procuring legal and accounting services necessary or proper for the administration and operation of the Project or the interpretation, enforcement or implementation of the Declaration, these By-Laws, and Rules and Regulations and any other material documents or decisions affecting the Project;

(i) Purchasing, leasing or otherwise procuring any other materials, equipment, supplies, furniture, labor and services, making repairs and structural alterations, and paying all taxes and assessments and other common expenses which the Board is required to procure, make or pay pursuant to the Declaration, these By-Laws, or by law or which in its opinion shall be necessary or proper for the operation of the Project or the enforcement of the Declaration or these By-Laws, provided that if any such materials, equipment, supplies, furniture, labor, services, repairs, structural alterations, insurance, taxes or assessments are required because of the particular actions or negligence of the Owners of a particular Apartment, the cost thereof shall be specially assessed to the Owners of such Apartment;

(j) Maintenance and repair of any Apartment if such maintenance or repair is necessary, in the discretion of the Board, to protect the common elements or any other Apartment or to maintain the neat and orderly appearance of the Project and the Owner or Owners of the Apartment shall have failed or refused to perform the maintenance or repair within a reasonable time after written notice of the necessity of said maintenance or repair delivered by the Board to the Owner or Owners; provided that the Board shall levy a special assessment against such Apartment for the cost of such maintenance or repair and any attorneys' fees and other expenses incurred in levying and collecting such special assessment;

(k) Payment of any amount necessary to discharge any lien or encumbrance levied against the entire Project or any part thereof which may in the opinion of the Board constitute a lien against the Project or against the common elements rather than merely against the interest therein of particular Owners. If the acts or omissions of one or more Owners shall be the cause of the existence of any such lien, they shall be jointly and severally liable for the cost of discharging it and the costs incurred by the Board by reason of such lien;

(l) Access to each Apartment from time to time during reasonable hours as may be necessary for the operation of the Project or for emergency repair of any Apartment or the limited common elements appurtenant thereto necessary to prevent damage to the common elements or to another Apartment, provided that the costs of such repair shall be chargeable to the Owners of such Apartment and the Board shall assess a special assessment on the Owners of such Apartment for the cost of such repair and any attorneys' fees and other expenses incurred in levying and collecting such special assessment;

(m) Appointing a manager or managing agent or both and delegating to them or either of them such of its powers as it deems necessary or appropriate, delegation of which is not otherwise prohibited herein or in the Declaration or by law;

(n) Employment, designation, supervision and dismissal of personnel necessary for the maintenance, repair, replacement and restoration of the common elements;

(o) Establishment of such penalties and fines and any interest thereon as it deems appropriate with respect to enforcement of the provisions of the Declaration, these By-Laws and the Rules and Regulations, including penalties and fines and any interest thereon for failure or refusal to pay to the Association on demand all costs, expenses, common expenses and assessments (special or otherwise) required to be paid hereunder; provided such penalties and fines are not inconsistent with applicable laws or the provisions of these By-Laws; and provided, further, that no penalty or fine levied for any reason other than failure or refusal to pay common expenses or assessments (special or otherwise) shall create a lien against an Owner's Apartment;

(p) Subject to the affirmative vote or written consent of at least sixty-five percent (65%) of the Apartment Owners, the Board may purchase, lease or otherwise acquire any Apartment in the name of the Board of Directors on behalf of all Apartment Owners;

(q) Subject to any approval requirements and spending limitations contained herein or in the Declaration, the Board may authorize the borrowing of money to be used by the Association for the repair, replacement, maintenance, operation, or administration of the common elements of the Project, or the making of any additions, alterations and improvements thereto. To secure said borrowing, the Board may pledge existing accounts and reserves and future assessments. The cost of such borrowing, including without limitation, all principal, interest, commitment fees, and other expenses payable with respect to such borrowing, shall be a common expense of the Project; provided that Apartment Owners representing at least fifty percent (50%) of the common interest and Apartments give written consent to such borrowing, having been first notified of the purpose and use of the funds;

(r) If the Board so chooses, conducting (or directing another responsible party to conduct) a background check on applicants applying for employment as a security guard or manager or for a position which would allow such employees access to the keys of or entry into the Apartments or access to Association funds, provided such employee applicant signs an authorization to conduct such background check;

(s) Dispose of personalty abandoned in or on the common elements of the Project in any one of the following ways:

(i) Sell the personalty in a commercially reasonable manner;

(ii) Store such personalty at the expense of its owner;

(iii) Donate such personalty to a charitable organization; or

(iv) Otherwise dispose of such personalty, provided that no such sale, storage, or donation shall occur until sixty (60) days after the Board complies with the following:

(A) The Board notifies the Owner in writing of:

(1) The identity and location of the personalty; and

(2) The Board's intent to sell, store, donate, or dispose of the personalty. Notification shall be by certified mail, return receipt requested, to the Owner's address as shown by the records of the Association, or to an address designated by the Owner for the purpose of notification; or, if neither of these is available, to the Owner's last known address, if any; or

(B) If the identity or address of the Owner is unknown, the Board shall first advertise the sale, donation, or disposition at least once in a daily newspaper of general circulation within the County of Hawaii.

The proceeds of any sale of disposition of personalty as set forth above shall, after deduction of any accrued costs of mailing, advertising, storage, and sale, be held for the Owner for thirty (30) days, after which any proceeds not claimed shall become the property of the Association;

(t) Expending Association funds for necessary travel and per diem on behalf of the Board members, provided that all Apartment Owners are informed in advance and the expenses are approved by a majority of the Apartment Owners;

(u) Custody and control of all funds of the Association, maintenance of full and accurate books of account and records of such funds and preparation of regular financial reports thereof;

(v) Delegation of its powers to committees, agents, officers, representatives and employees; and

(w) Reviewing, on at least a quarterly basis:

(i) a current reconciliation of the Association's operating accounts;

(ii) a current reconciliation of the Association's reserve accounts;

(iii) the current year's actual reserve revenues and expenses compared to the current year's budget;

(iv) the latest account statements prepared by the financial institute(s) where the Association has its operating and reserve accounts;

(v) an income and expense statement for the Association's operating and reserve accounts; and

(x) Performing such other functions as shall be provided by the Declaration.

SECTION 6.2 Employment of Managing Agent.

The Board of Directors may (but shall not be required to) employ a responsible managing agent duly registered with the Real Estate Commission of the State of Hawaii, subject at all times to direction by the Board with such powers and duties of the Board as shall be delegated by the Board. The compensation of the resident manager and/or managing agent shall be specified by the Board. Notwithstanding the foregoing, the Developer shall have the right to select the initial managing agent for the Project, subject, however, to the provisions of Section 514A-84 of the Act. The managing agent shall at all times comply with all of the requirements of the Act.

The managing agent shall have such powers and duties as may be necessary or proper in connection with (a) supervision of the immediate management and operation of the Project, (b) maintenance, repair, replacement and restoration of the common elements and any additions or alteration thereto, (c) the purchase (or leasing), maintenance and replacement of any equipment, (d) provisions for service of all utilities to the common elements and the various Apartments, (e) employment, supervision and dismissal of a resident manager and such other personnel as it deems necessary for the maintenance and operation of the Project, (f) conclusion of contracts with others for the furnishing of such services as it deems proper for the Project, (g) preparation of a proposed budget and schedule of assessments (h) collection of all assessments and payment of all bills, (i) purchase of such insurance and fidelity bonds as is contemplated by these By-Laws, (j) custody and control of all Association funds, (k) maintenance of books and records on a cash basis and (l) preparation of financial reports and registration of the Association with the Hawaii Real Estate Commission. The Board of Directors may in its discretion limit any of the powers herein granted to the managing agent or grant additional powers to the managing agent.

SECTION 6.3 Renting or Selling of Apartments by Association Employees.

An employee of the Association shall not engage in renting or selling Apartments in the Project except for the Apartments owned by the Association, unless such activity is approved by an affirmative vote of sixty-five percent (65%) of the Apartment Owners.

SECTION 6.4 Rules and Regulations.

The Developer shall initially adopt, and the Board of Directors shall thereafter adopt and amend, such Rules and Regulations as the Developer or the Board of Directors, as the case may be, may deem necessary or desirable governing the details of the operations and use of the common elements and limited common elements and certain details of the use of the Apartments. Such rules shall be binding upon the Apartment Owners, and all invitees, guests, employees and tenants of the Apartment Owners and all occupants of the Apartments, and shall be enforceable by the resident manager and the managing agent on behalf of the Board. Any amendment of the Rules and Regulations shall require the prior written approval of the Developer, as long as Developer or any affiliate of Developer shall hold an ownership interest in any Apartment.

SECTION 6.5 Abatement and Enjoinment of Violations by Apartment Owners.

The violation of any of the Rules and Regulations, the breach of any of these By-Laws or the breach of any provision of the Declaration shall give the Board the rights in addition to any other rights set forth in these By-Laws:

(a) To enter (by force, if necessary) the Apartment in which, or as to which, such violation or breach exists and summarily to abate any structure, thing or condition that may exist therein in violation of the Rules and Regulations, these By-Laws or the Declaration, and the Board shall not thereby be guilty of any trespass or be or become liable for any damage to the Apartment or any common elements caused by such entry, all costs of repairing any such damage being the sole responsibility of the defaulting Owner; provided, however, that notwithstanding the foregoing, the Board shall have such right of entry (forcible or otherwise) only in the instance where such violation or breach threatens an immediate, substantial and undeniable threat to life, limb or property of any Apartment Owner, member of his family, tenant, guest or invitee; or

(b) To enjoin, abate or remedy, by appropriate legal proceedings, the continuance of any such breach, and all costs thereof, including attorneys' fees, shall be paid by the defaulting Apartment Owner on demand.

ARTICLE VII — COMMON EXPENSES

SECTION 7.1 Common Expenses Defined.

Common expenses means and includes all sums designated in the Declaration or in these By-Laws as common expenses, all sums incurred by or on behalf of the Board of Directors in the conduct and management of the affairs of the Association pursuant to the Declaration and these By-Laws, such amounts as the Board of Directors deems proper to maintain an adequate reserve fund for the operation and maintenance of the Project, including, without limitation, anticipated needs for working capital, capital improvements, and for replacements, repairs and contingencies, and such amounts as the Board of Directors deems proper to make up any deficit in the common expense assessments for any prior year. Without limiting the generality of the foregoing, common expenses shall include all charges for taxes (except real property taxes and other such taxes which are or may hereafter be assessed separately on each Apartment and the common interest in the common elements appertaining thereto or the personal property or any other interest of the Owner), insurance (including fire and other casualty and liability insurance), costs of repair, reinstatement, rebuilding and replacement of the common elements, costs of yard and other similar services, wages, accounting and legal fees, management fees and other necessary expenses of upkeep, maintenance, management and operation actually incurred on or for the common elements and the cost of all utility services (including water, electricity, gas, garbage disposal, telephone and any similar services) unless separately metered, in which case the amounts shall be charged to each Apartment and shall be payable by the Owner of such Apartment. The interest of any Apartment Owner in the reserves of the Association may not (except upon the termination of the Condominium Property Regime established by the Declaration) be withdrawn or assigned separately, but shall be deemed to be transferred automatically with each transfer of the Apartment, whether or not mentioned or described expressly in the transfer document.

SECTION 7.2 Method of Determining and Collecting Common Expenses.

Except as otherwise provided in the Declaration or these By-Laws, each Apartment Owner shall be liable for and pay a share of the common expenses, in proportion to the common interest appurtenant to his Apartment. Assessments of common expenses shall be payable in monthly installments on the first day of each month, or at such other times as shall be determined by the Board of Directors. The Developer shall fix the rate of the assessments of common expenses until such rate shall be redetermined by the Board of Directors. The Board of Directors shall annually fix the rate of assessments of common expenses and shall notify each Apartment Owner in writing of the amount of the assessments applicable to such Owner's Apartment not less than thirty (30) days in advance of the beginning of such annual assessment period. The Board of Directors may from time to time during any year increase the assessment rate or impose a special assessment, provided the Board of Directors shall notify each Apartment Owner in writing of such increase or special assessment not less than thirty (30) days before the effective date of such increase or assessment. Any portion of an Owner's assessments used or to be used by the Association for capital improvements or any other capital expenditure shall not be treated as income to the Association but shall be treated as a capital contribution by the Owners to the Association and shall be credited by the Association upon its books as paid-in-surplus.

If, at the end of any year, there should be any excess unspent funds collected by assessments, the same shall be used or applied by the Board, in its sole discretion, (i) to pay common expenses in the following year; or (ii) to be placed in the replacement reserves.

SECTION 7.3 Payment as Agent.

The Board will pay or cause to be paid, on behalf of the Owners, all common expenses. Each Owner, as principal, shall be liable for and pay his share, determined as provided in the Declaration and these By-Laws, of all common expenses, and the Board shall be responsible, as agent for each Owner, only to transmit the payments made by the Owner to third persons to whom such payments must be made by the Owner. The Board may require the managing agent to assist in its duties hereunder. The Board or the managing agent collecting the common expenses shall not be liable for payment of such common expenses as principal but only as the agent of all Owners to transmit said payments to third persons to whom such payments must be made by the Owners.

SECTION 7.4 Budget and Reserves.

Subject to the Act and any further regulations adopted by the Real Estate Commission of the State of Hawaii:

(a) The Board of Directors shall prepare and adopt an annual operating budget and distribute it to the Apartment Owners. At a minimum, the budget shall include the following:

(i) The estimated revenues and operating expenses of the Association;

(ii) Information as to whether the budget has been prepared on a cash or accrual basis;

(iii) The total replacement reserves of the Association as of the date of the budget;

(iv) The estimated replacement reserves the Association will be required to maintain based on a reserve study performed by the Association;

(v) A general explanation of how the estimated replacement reserves are computed; and

(vi) The amount the Association must collect for the fiscal year to fund the estimated replacement reserves.

(b) The Association shall assess the Apartment Owners to either fund a minimum of fifty percent (50%) of the estimated replacement reserves or fund one hundred percent (100%) of the estimated replacement reserves when using a cash flow plan; provided, however, the Association need not collect estimated replacement reserves until the fiscal year which begins after the Association's first annual meeting. For each fiscal year the Association shall collect the amount assessed to fund the estimated replacement reserves for that fiscal year reserves, as determined by the Association's plan, except: The Association may fund in increments, over three years, estimated replacement reserves that have been substantially depleted by an emergency pursuant to rules adopted by the Real Estate Commission of the State of Hawaii.

(c) The Association shall compute the estimated replacement reserves by a formula which is based on the estimated life and the estimated capital expenditure or major maintenance required for each part of the Project. The estimated replacement reserves shall include:

(i) Adjustments for revenues which will be received and expenditures which will be made before the beginning of the fiscal year to which the budget relates; and

(ii) Separate designated reserves for each part of the Project for which capital expenditures or major maintenance will exceed $10,000. Parts of the Project for which capital expenditures or major maintenance will not exceed $10,000 may be aggregated in a single designated reserve.

(d) Neither the Association nor any Apartment Owner, director, officer, managing agent, or employee of the Association who makes a good faith effort to calculate the estimated replacement reserves for the Association shall be liable if the estimate subsequently proves incorrect.

(e) The Board of Directors may not exceed its total adopted operating budget by more than twenty percent (20%) during the fiscal year to which the budget relates, except in emergency situations. Prior to the imposition or collection of an assessment under this paragraph, the Board of Directors shall pass a resolution containing written findings as to the necessity of the extraordinary expense involved and why the expense was not or could not have been reasonably foreseen in the budgeting process, and the resolution shall be distributed to the members with the notice of assessment.

(f) The requirements of this Section 7.4 shall override any requirements in the Declaration, these By-Laws, or any of the Association's other documents relating to preparation of budgets, calculation of reserve requirements, assessment and funding of reserves, with the exception of:

(i) any provisions relating to the repair and maintenance of the Project;

(ii) any requirements in the Declaration, these By-Laws, or any of the Association's other documents which require the Association to collect more than fifty percent (50%) of reserve requirements; or

(iii) any provisions relating to upgrading the common elements, such as additions, improvements, and alterations to the common elements.

(g) Subject to the procedures of Section 534A-94 of the Act and any rules adopted by the Real Estate Commission of the State of Hawaii, any Apartment Owner may enforce the Board's compliance with this Section 7.4 in the event the Association fails to so comply. In the event the Board has not prepared an annual operating budget and reserve study as required in this Section 7.4, the Board shall have the burden of proving it has complied with this Section 7.4 in any proceeding to enforce such compliance.

(h) As used in this section:

"Capital expenditure" means an expense which results from the purchase or replacement of an asset whose life is greater than one year, or the addition of an asset which extends the life of an existing asset for a period greater than one year.

"Cash flow plan" means a minimum twenty-year projection of the Association's future income and expense requirements to fund fully its replacement reserves provided that it does not include a projection of special assessments or loans during that twenty-year period, except in an emergency.

"Emergency situation" means any extraordinary expenses:

(i) Required by an order of a court;

(ii) Necessary to repair or maintain any part of the Project for which the Association is responsible where a threat to personal safety on the Project is discovered;

(iii) Necessary to repair any part of the Project for which the Association is responsible that could not have been reasonably foreseen by the Board of Directors in preparing and distributing the annual operating budget;

(iv) Necessary to respond to any legal or administrative proceeding brought against the Association that could not have been reasonably foreseen by the Board in preparing and distributing the annual operating budget; or

(v) Necessary for the Association to obtain adequate insurance for the property which the Association must insure.

"Major maintenance" means an expenditure for maintenance or repair that will result in extending the life of an asset for a period greater than one year.

"Replacement reserves" means funds for the upkeep, repair, or replacement of those parts of the Project including, but not limited to roofs, walls, decks, paving, and equipment, that the Association is obligated to maintain.

SECTION 7.5 Default in Payment of Assessments.

Each monthly (or other periodic) assessment and each special assessment shall be the separate, distinct and personal debt and obligation, as of the date of assessment, of the Owner against whom the same is assessed and, in the case of an Apartment owned by more than one person, shall be the joint and several obligation of such co-Owners. Any assessment not paid within ten (10) days after the due date thereof shall accrue interest at the rate of twelve percent (12%) per annum from such due date until paid and shall be subject to the assessment of such late charge or fine as may be from time to time determined by the Board of Directors. All unpaid amounts of such assessments (or any other assessments provided for in the Declaration or these By-Laws) against any Apartment or Apartment Owner shall constitute a lien on such Apartment or such Owner's Apartment prior to all other liens, except only (i) liens for taxes and assessments lawfully imposed by governmental authority against such Apartment (which by law have priority over the Association's lien), and (ii) liens of any bona fide mortgage which was recorded prior to the recording of a notice of a lien by the Association. Such lien for an unpaid assessment may be foreclosed by an action brought by the Association or by its managing agent on behalf of the Association, as provided by the Act in like manner as the foreclosure of a mortgage of real property, provided that ten (10) days prior written notice of intention to foreclose such lien shall be mailed by registered mail, postage prepaid, to the Owner of the Apartment to be foreclosed upon. In any such foreclosure, the Apartment Owner shall be required to pay a reasonable rental for the Apartment, and the Association shall be entitled to the appointment of a receiver to collect the same. Subject to the assessment requirements of Section 6.1(p) of these By-Laws, the Association or the managing agent, acting on behalf of the Association, shall be entitled to bid on such Apartment at the foreclosure sale and to acquire, hold, lease, mortgage and convey such Apartment. Suit to recover a money judgment for unpaid assessments shall be maintainable without foreclosing or waiving the lien securing such assessments.

In the event of a default or defaults in payment of any such assessment or assessments, and in addition to any other remedies the Board of Directors may have, the Board of Directors may enforce each such obligation as follows:

(a) By suit or suits at law to enforce such assessment obligation. Each such action must be authorized by a majority of the Board at a regular or special Board meeting, and any such suit may be instituted by the Board or the managing agent (if so authorized by the Board in writing), on behalf of the Association. Any judgment rendered in favor of the Association in any such action shall include reasonable attorneys' fees and costs. Upon full satisfaction of any such judgment, the Board shall authorize any two (2) members thereof or officers of the Association, acting in the name of the Board and the Association, to execute and deliver to the judgment debtor an appropriate satisfaction thereof.

(b) At any time after the occurrence of any such default, the Board or the managing agent may give a notice to the defaulting Apartment Owner stating the date and amount of the delinquency. If the delinquent amount is not paid within ten (10) days after delivery or mailing of such notice, the Board or the managing agent may record a notice of lien against the Apartment of such delinquent Apartment Owner. Any such notice of lien shall be signed and acknowledged by any two (2) or more members of the Board or officers of the Association, the attorney for the Association, or the managing agent. Irrespective of whether or not such a notice of lien is recorded, the Board shall have all remedies provided in these By-Laws, the Declaration and the Act on account of the occurrence of any such default. Each default shall constitute a separate basis for a notice of lien, but a single notice of lien may be filed with respect to more than one default.

A certificate executed and acknowledged by any two (2) members of the Board or officers of the Association or the managing agent shall be conclusive upon the Association and the Owners in favor of any and all persons who rely thereon in good faith as to the matters therein contained, and any Owner shall be entitled to such a certificate setting forth the amount of any due and unpaid assessments with respect to his Apartment (or the fact that all assessments due are paid if such is the case) within fifteen (15) days after demand therefor and upon payment of a reasonable fee or service charge, in an amount fixed from time to time by the Board. If any notice of lien is filed as aforesaid and thereafter the Board receives payment in full of the amount claimed to be due and owing (including accrued interest, late fees and any costs of enforcement and/or attorneys' fees) then upon demand of the Apartment Owner and payment of a reasonable fee, the Board, acting by any two (2) members of the Board or officers of the Association or the managing agent, shall execute, acknowledge and deliver to the Owner a release of lien, stating the date of the original notice of lien, the date, the filing date of the notice of lien and that the lien is fully satisfied, released and discharged.

SECTION 7.6 Assessment Disputes.

(a) No Apartment Owner shall withhold any assessment claimed by the Association. Any Apartment Owner who disputes the amount of an assessment may request a written statement clearly indicating:

(i) The amount of common expenses included in the assessment, including the due date of each amount claimed;

(ii) The amount of any penalty, late fee, lien filing fee, and any other charge included in the assessment;

(iii) The amount of attorneys' fees and costs, if any, included in the assessment;

(iv) That under Hawaii law, an Apartment Owner has no right to withhold assessments for any reason;

(v) That an Apartment Owner has a right to demand mediation or arbitration to resolve disputes about the amount or validity of an Association's assessment, provided the Apartment Owner immediately pays the assessment in full before filing for such mediation or arbitration and thereafter keeps assessments current; and

(vi) That payment in full of the assessment does not prevent the Apartment Owner from contesting the assessment or receiving a refund of amounts owed.

Nothing in these By-Laws shall limit the rights of an Apartment Owner to the protection of all fair debt collection procedures mandated under federal and state law.

(b) An Apartment Owner who pays the Association the full amount claimed by the Association may file in small claims court or require the Association to mediate to resolve any disputes concerning the amount or validity of the Association's claim. If the Apartment Owner and the Association are unable to resolve the dispute through mediation, either party may file for arbitration under Section 10.8 of these By-Laws or part VII of the Act, whichever is applicable, provided that an Apartment Owner may only file for arbitration if all amounts claimed by the Association are paid in full on or before the date of filing. If the Apartment Owner fails to keep all Association assessments current during the arbitration, the Association may ask the arbitrator to temporarily suspend the arbitration proceedings. If the Apartment Owner pays all Association assessments within thirty (30) days of the date of suspension, the Apartment Owner may ask the arbitrator to recommence the arbitration proceedings. If the Apartment Owner fails to pay all Association assessments by the end of the 30-day period, the Association may ask the arbitrator to dismiss the arbitration proceedings. The Apartment Owner shall be entitled to a refund of any amounts paid to the Association which are not owed.

SECTION 7.7 Waiver.

The failure of the Board to insist in any one or more instances upon a strict performance of or compliance with any of the covenants of the Owner hereunder or to exercise any right or option herein contained or to serve any notice or to institute any action or summary proceeding shall not be construed as a waiver or a relinquishment for the future, of such covenant, option or right, but such covenant, option or right shall continue and remain in full force and effect. The receipt by the Board of any sum paid by the Owner hereunder, with or without knowledge by the Board of the breach of any covenant hereof, shall not be deemed a waiver of such breach; and no waiver, express or implied, by the Board of any provision hereof shall be deemed to have been made unless expressed in writing and signed by the President pursuant to authority contained in a resolution of the Board of Directors.

SECTION 7.8 Liability of Acquirer of Title on Foreclosure for Unpaid Common Expenses.

Where the Apartment mortgagee of a mortgage of record or other purchaser of an Apartment obtains title to the Apartment as a result of foreclosure on the mortgage, the acquirer of title, his successors and assigns, shall not be liable for the share of the common expenses or assessments by the Association chargeable to the Apartment which became due prior to the acquisition of title to the Apartment by the acquirer. The unpaid share of common expenses or assessments shall be deemed to be common expenses collectible from all of the Apartment Owners, including the acquirer, his successors and assigns, except as otherwise provided in the Act at subsections (g), (h), and (i) of Section 514A-90.

SECTION 7.9 Joint and Several Liability of Grantor and Grantee for Unpaid Common Expenses.

In a voluntary conveyance the grantee under an Apartment Deed covering an Apartment is jointly and severally liable with the grantor for all unpaid assessments against the grantor for his share of the common expenses up to the time of the conveyance, without prejudice to the grantee's right to recover from the grantor the amounts paid by the grantee therefor. However, any such grantor or grantee is entitled to a statement from the managing agent or Board of Directors setting forth the amount of the unpaid assessments against the grantor, and except as to the amount of subsequently dishonored checks mentioned in such statement as having been received within the 30-day period immediately preceding the date of such statement, the grantee is not liable for, nor is the Apartment conveyed subject to a lien for, any unpaid assessments against the grantor in excess of the amount therein set forth.

SECTION 7.10 Waiver of Use of Common Elements; Abandonment of Apartment; Conveyance to Board of Directors.

No Apartment Owner may exempt himself from liability for his contribution towards the common expenses by waiver of the use or enjoyment of any of the common elements or by abandonment of his Apartment. Any Apartment Owner may, by conveying his Apartment and his common interest to the Board of Directors on behalf of all other Apartment Owners, exempt himself from common expenses thereafter accruing.

SECTION 7.11 Taxes and Assessments.

Each Owner of an Apartment shall be obligated to have the real property taxes for such Apartment and its appurtenant interest in the common elements assessed separately by the proper governmental authority and to pay the amount of such real property taxes so determined. The foregoing sentence shall apply to all types of taxes which now are or may hereafter be assessed separately by law on each Apartment and the common interest in the common elements appertaining thereto or the personal property or any other interest of the Owner. Each Owner shall execute such documents and take such action as may be reasonably specified by the Board to facilitate dealing with the proper governmental authority regarding such taxes and assessments. Each Owner shall be obligated to pay to the Board his proportionate share of any assessment by the Board for any portion of taxes or assessments, if any, assessed against the entire Project or any part of the common elements as a whole and not separately, such payment to be made as directed by the Board. If, in the opinion of the Board, any taxes or assessments may be a lien on the entire Project or any part of the common elements, the Board may pay such taxes or assessments as part of the common expenses. Such assessments by the Board are secured by the lien created by Section 7.5 hereof.

SECTION 7.12 Utility Expenses.

The cost of utility services to any Apartment which are separately metered or check metered shall be payable by the Owner of such Apartment, payable directly to the utility company if a separate bill is rendered, or otherwise added to his share of common expenses. For all utility expenses not separately metered or check metered, the Board shall allocate a share of such utility expenses to each Apartment, based upon the Apartment's appurtenant undivided percentage interest in the common elements.

SECTION 7.13 Collection from Tenant.

If an Owner at any time rents or leases his Apartment and defaults for a period of thirty (30) days or more in the payment of the Owner's share of the common expenses, the Board may, so long as such default continues, demand and receive from any renter or lessee occupying the Apartment or the rental agent (hereinafter collectively in this paragraph referred to as "lessee") of the Owner the rent due or becoming due from such lessee to the Owner up to an amount sufficient to pay all sums due from the Owner, including interest and costs of enforcement if any; and any such payment of such rent to the Board by the lessee shall be a full and sufficient discharge of such lessee as between such lessee and the Owner to the extent of the amount so paid; but no such demand or acceptance of rent from any lessee shall be deemed to be a consent to or approval of any lease by the Owner nor a release or discharge of any of the obligations of the Owner hereunder remaining unpaid or unperformed or any acknowledgment or surrender of any rights or duties hereunder. If the Board makes any such demand upon the lessee, the lessee shall not have the right to question the right of the Board to make such demand, but shall be obligated to make such payments to the Board as demanded by the Board with the effect as aforesaid; provided that the Board may not exercise this right if a receiver has been appointed to take charge of the premises pending a mortgage foreclosure or if a mortgagee is in possession pending a mortgage foreclosure.

SECTION 7.14 Severance of Utilities.

The Board shall also have the right to sever or interrupt utility services to a delinquent Apartment as provided in the Declaration.

ARTICLE VIII — MAINTENANCE, REPAIR, ALTERATION AND USE

SECTION 8.1 Maintenance and Repair of Apartments and Limited Common Elements.

Maintenance and repair of apartments and limited common elements shall be performed as provided in the Declaration.

SECTION 8.2 Maintenance and Repair of Common Elements.

Except as otherwise provided herein or in the Declaration, all maintenance, repairs and replacements of the common elements shall be made only by or at the direction of the Board and be charged to all the Owners as a common expense provided that the costs of maintenance, repairs replacements necessitated by the negligence, misuse or neglect of an identified Apartment Owner or costs which the Declaration provided shall be charged to one or more (but not all) of the Owners, shall be charged to each such Apartment Owner as a special assessment constituting a lien on each such Owner's Apartment in accordance with Section 7.5 of Article VII hereof.

SECTION 8.3 Alterations and Additions to Apartments and Limited Common Elements.

(a) Subject to the provisions of the Declaration and the Act, and except as otherwise provided herein, no Owner of an Apartment shall, without the prior written approval of the Board, make any structural alterations in or additions to his Apartment or make any alterations in (including painting, awnings, windows, lanais, porches and

screens) or additions to the exterior of his Apartment or to the building containing the Apartment or to the common elements. If the Board, in its sole discretion, determines the services of a licensed professional(s) are necessary to assist the Board in analyzing and responding to an Owner's request to proceed with structural alterations or additions to an Owner's Apartment as permitted under this subparagraph (a) or as provided in subparagraph (g) below, then the Owner making the request shall reimburse the Board all of its costs incurred in securing the assistance of such a licensed professional(s).

(b) No Apartment Owner shall, without the prior written approval of the Board, install any wiring for electrical or telephone installations, television antenna, machines or air-conditioning units, or other equipment, fixtures, appliances or appurtenances whatsoever on the exterior of any Building of the Project or protruding through the walls, windows or roofs thereof.

(c) No Apartment Owner shall, without the prior written approval of the Board, make any structural modifications, changes, additions or alterations to his porch or lanai or add any awnings, sunscreens, louvers, exhaust vents, wind baffles, or drains. However, this restriction shall not apply to any standard lanai enclosure systems or other standard lanai improvements (including any standard sunscreens) which shall have been preapproved by the Developer or the Board.

(d) Owners may not, without the prior written approval of the Board, apply any substance, material or process to the exterior or interior surfaces of the Apartment's windows which may alter the exterior color, appearance or reflectivity of the windows. Any drapes or other interior window coverings shall not have reflective surfaces visible through the windows from the exterior.

(e) Exterior solar panels shall be prohibited.

(f) Waterbeds, hot tubs/jacuzzis, or flotation tubs may not be located or installed in any apartment, except those installed by the Developer as an original fixture and any replacements thereof.

(g) Notwithstanding anything to the contrary contained herein, Owners shall have the right at any time and from time to time, at their respective sole cost and expense, without the consent or joinder of any other Apartment Owners, but with the consent, if required, of any mortgagee of an apartment in which such work is being performed, to install, maintain, remove, and rearrange partitions and other nonstructural improvements from time to time within their Apartments, and to paint, paper, panel, plaster, tile, finish, and do or cause to be done such other work on the interior surfaces of the ceilings, floors, and walls within their Apartments, and to finish, alter, or substitute any plumbing, electrical, or other fixtures attached to said ceilings, floors, and walls as shall be appropriate for the utilization of their

Apartments (provided, that such plumbing and electrical alterations and/or substitutions shall not adversely affect the plumbing and electrical systems of the Project as determined by the Board in the exercise of its sole discretion). PROVIDED, HOWEVER, at no time shall the Owners of any Apartments located above the ground floor of any of the Project buildings remove or replace the carpeting and padding originally installed by the Developer except if the removed or replaced carpeting and padding is replaced with carpeting and padding first approved by the Board of Directors, which carpeting and padding in any event, must be of a quality equal to or better than the carpeting and padding originally installed by the Developer. Prior to undertaking any of the alterations to the Owner's Apartment as described in this subparagraph (g), the Owner shall provide the Board with at least thirty (30) days' prior written notice of the type of alteration to be undertaken pursuant to this subparagraph (g) together with plans and specifications prepared by a licensed Hawaii architect or engineer if the proposed alteration involves the installation, maintenance, removal and rearrangement of partitions and/or plumbing, electrical or other fixtures attached to the ceilings, floors, and walls of the Apartment.

[Amended by the First Amendment, Bureau of Conveyances Doc No. 2001-096485, recorded June 26, 2001. Cite the recorded original and that amendment, not this consolidation.]

SECTION 8.4 Alteration of the Project.

(a) Additions, alterations, repairs or improvements to the common elements of the Project may be made only by or at the direction of the Board of Directors.

(b) No Owner may, without the prior written approval of the Board (i) make any alteration, additions, repair or improvement to his Apartment which may affect the common elements, or change the exterior appearance of the Project, or (ii) make any alteration, addition, repair or improvement to any of the common elements encompassing or adjacent to his Apartment.

(c) Whenever in the judgment of the Board, the common or limited common elements shall require additions, alterations, repairs or improvements with a total cost of less than TWENTY-FIVE THOUSAND DOLLARS ($25,000.00), the Board may proceed with such additions, alterations, repairs or improvements and shall assess the cost thereof as a common expense, except that the cost of any such work performed on any limited common elements shall be charged to the Owners of Apartments to which such limited common elements are appurtenant. Any additions, alterations, repairs or improvements costing in excess of TWENTY-FIVE THOUSAND DOLLARS ($25,000.00) may be made by the Board only after obtaining approval of a majority of Apartment Owners; except that such approval shall not be required for any additions, alterations, repairs or improvements required by law or in the event of an emergency threatening immediate and substantial damage to person or property. If such approval shall be obtained, the cost thereof shall constitute part of the common expense.

(d) Except as otherwise provided herein or in the Declaration, restoration or replacement of the Project or any building or other facility or construction or structural alteration or addition to any such structure different in any material respect from the Condominium Map, shall be undertaken by the Association or any Apartment Owner only pursuant to an amendment of the Declaration, duly executed by or pursuant to the affirmative vote or written consent of seventy-five percent (75%) of the Apartment Owners and accompanied by the written consent of the holders of all liens affecting any of the Apartments, and in accordance with complete plans and specifications therefore first approved in writing by the Board and promptly upon completion of such restoration, replacement or construction, the Association shall duly record such amendment together with a complete set of floor plans reflecting such alteration certified by a registered architect or professional engineer to accurately depict the layout, location, apartment numbers and dimensions of the Apartments as built. Notwithstanding any provision in the Declaration or these By-Laws to the contrary, but expressly subject to the provisions of Section 8.3 above and Section 8.6 below, any alterations or additions solely within an Apartment shall require the written consent thereto, and the written approval of the Apartment Owner's plans therefor, by the holders of liens affecting such Apartment (if the lien holders require such approval) and any other Apartment Owner thereby directly affected, and such alterations or additions may be undertaken by recording an amendment to the Declaration and Condominium Map; provided, however, that upon obtaining such consents as are necessary, such amendment shall be executed and recorded by the Board without the further consent or approval of any other Apartment Owner, and all costs and expenses of drafting and recording such amendment shall be borne by the Owner of the altered Apartment or limited common element.

SECTION 8.5 Exemptions for Persons With Disabilities.

Notwithstanding anything to the contrary contained in these By-Laws, the Declaration or the Rules and Regulations, Owners with disabilities shall be permitted to make reasonable modifications to their Apartments and/or common elements, at their expense (including the cost of obtaining any bonds required by the Declaration, these By-Laws or the Act), if such modifications are necessary to enable them to use and enjoy their Apartments and/or the common elements, as the case may be, provided that any Owner with a disability desiring to make such modifications shall make such request, in writing, to the Board of Directors. That requests shall set forth, with specificity and in detail, the nature of the request and the reason that the requesting party needs to make such modifications. The Board of Directors shall not unreasonably withhold or delay their consent to such request, and any such request shall be deemed to be granted if not denied in writing, within forty-five (45) days of the Board's receipt thereof, or within forty-five (45) days of the Board's receipt of additional information reasonably required in order to consider such request, whichever shall last occur and the approval of the Developer's architect shall be required as provided in the Declaration. Nothing contained in this Section 8.5 shall exempt an Owner from making all amendments to these By-Laws, the Declaration or the Condominium Map necessitated by any changes permitted under this Section.

SECTION 8.6 Certain Work Prohibited.

Anything herein to the contrary notwithstanding, no Apartment Owner shall do any work which could jeopardize the soundness or safety of the Project, reduce the value thereof, impair any easement or hereditament, nor may any Apartment Owner add any material structure or excavate any basement or cellar without in every such case the consent of seventy-five percent (75%) of the Apartment Owners being first obtained, together with the consent of all Apartment Owners whose Apartments or limited common elements appurtenant thereto are directly affected; provided that nonmaterial structural additions to the common elements (as defined in Section 514A-89 of the Act), or additions to or alterations of an Apartment made within such Apartment or within a limited common element appurtenant to and for the exclusive use of the apartment, shall require approval only by the Board of Directors and such percentage, number, or group of Apartment Owners as may be required by the Declaration or these By-Laws.

SECTION 8.7 Use.

(a) Each Apartment in the Project shall be used only for the purposes set forth in the Declaration.

(b) All common elements of the Project shall be used only for their respective purposes as designed and as set forth in the Declaration, subject to:

(i) The right of the Board, upon the approval of the Owners of seventy-five percent (75%) of the common interest, to change the use of the common elements (but not the limited common elements);

(ii) The right of the Board, on behalf of the Association, to lease or otherwise use for the benefit of the Association those common elements which are not actually used by any of the Apartment Owners for an originally intended special purpose, as determined by the Board; provided that unless the approval of the Owners of seventy-five percent (75%) of the common interest is obtained, any such lease shall not have a term exceeding five (5) years and shall contain a provision that the lease or agreement for use may be terminated by either party thereto on not more than sixty (60) days written notice;

(iii) The right of the Board to lease or otherwise use for the benefit of the Association those common elements not falling within paragraph (ii) above, upon obtaining (A) the approval of the Owners of seventy-five percent (75%) of the common interest, including all directly affected Owners and all Owners of Apartments to which such common elements are appurtenant in the case of limited common elements, and (B) approval of all mortgagees of record on Apartments with respect to which Owner approval is required by (A) above, if such lease or use would be in derogation of the interest of such mortgagees.

(c) No Apartment Owner shall make or permit to be made any noise by himself or his tenants, employers, guests, or invitees, which will unreasonably annoy or interfere with the rights, comfort or convenience of other Owners or occupants of the Project.

(d) Every Apartment Owner and occupant shall at all times keep his Apartment and the limited common elements appurtenant thereto in a strictly clean and sanitary condition and observe and perform all laws, ordinances, rules and regulations now or hereafter made by any governmental authority or the Association for the time being applicable to the use of the Project.

(e) Every Apartment Owner and occupant shall comply strictly with the Declaration and the Rules and Regulations.

(f) Rules governing all Parking Areas:

(i) The parking spaces shall be used only for parking vehicles and for no other purposes. No boats, boat trailers or other trailers or oversized vehicles such as RV's or trucks larger than pickups shall be parked in any parking space or area. Prior to using any parking space, Owners shall register with the managing agent or the resident manager, the make and the license number of all vehicles that will be parked in a parking space. No more than two vehicles per Apartment shall be registered and permitted to park at the Project. At the option of the Board, each owner or occupant registering a vehicle shall place a decal on the vehicle as furnished by the Association.

[Amended by the First Amendment, Bureau of Conveyances Doc No. 2001-096485, recorded June 26, 2001. Cite the recorded original and that amendment, not this consolidation.]

(ii) *Space Reserved.* Each Occupant of an Apartment must not use any parking space at any time that is appurtenant to any Apartment other than said Occupant's Apartment without prior permission of the Owner who has the right to use such parking space.

(iii) *Roadways and Driveways.* No cars may be parked or left unattended on any of the Project's roadways or driveways, provided that the shoulders of the roads may be used for overflow guest parking.

(iv) *Workers and Deliveries.* When workers are performing work on an Apartment or if any Occupant orders deliveries of any kind, the Occupant shall advise such workers or delivery persons to use his assigned parking space or park in a designated loading area, if any, unless other arrangements have been made in advance and approved by the resident manager or managing agent.

(v) *Guest Parking.* The forty, unassigned parking stalls located throughout the Project shall be used by Owners and their guests and tenants on a "first come, first served" basis. Vehicles shall only be parked in marked parking stalls and shall not be parked anywhere else on the Project.

(vi) *Resident Manager's Parking Stalls.* The two parking stalls located immediately adjacent to the Resident Manager's residence shall be used exclusively by either the Resident Manager or for such other purposes as shall be determined to be appropriate from time to time in the sole discretion of the Board of Directors.

(vii) *Repairs.* No repairs of vehicles or other equipment shall be permitted in parking spaces, except that minor repairs shall be permitted where such repairs are necessary to get a motor vehicle in operating condition sufficient to remove such vehicle from the Project.

(viii) *Parking Space Maintenance; Storage.* Owners are responsible for the cleanliness of their assigned parking spaces, including the removal of any grease buildup. No personal items, such as lumber, furniture, crates, bicycles or surfboards, shall be stored or left in the covered parking spaces.

(ix) *Speeding.* No vehicle shall exceed the posted speed limits while on the Project. Racing of engines or tire squealing will not be permitted on any portion of the Project. Caution is advised at all times while driving on the Project because of pedestrians.

(x) *Violations.* Violators of these provisions regulating parking shall have their vehicles towed away at their own expense. If the violator is an Occupant of any particular Apartment, the Owner thereof shall be held responsible for payment of the towing charge. Otherwise, the registered owner of the towed vehicle shall be responsible for payment of such charge.

ARTICLE IX — MORTGAGES

SECTION 9.1 Notice to Apartment Mortgagees.

All notices permitted or required to be given to an Apartment Owner pursuant to these By-Laws shall also be given to the Apartment mortgagees of such Apartment Owner if such Apartment mortgagees have delivered to the Board of Directors written request for such notices.

SECTION 9.2 Notice to Board of Directors.

An Owner who mortgages his interest in an Apartment shall notify the Board of Directors of the name and address of his mortgagee and within ten (10) days after the recordation of the same shall provide the Board of Directors with the recording document number of the mortgage. The Board of Directors shall maintain such information in a book entitled "Mortgages of Apartments".

SECTION 9.3 Mortgage Protection.

Notwithstanding any provisions to the contrary contained herein:

(a) All taxes, assessments and charges which may become liens prior to a first mortgage of record on an Apartment in the Project under the laws of the State of Hawaii shall relate only to the individual Apartments and not to the Project as a whole.

(b) The Declaration and these By-Laws shall not give an Apartment Owner or any other party priority over any rights of mortgagees of Apartments pursuant to their mortgages in the case of a distribution to Apartment Owners of insurance proceeds or condemnation awards.

(c) No amendment to this Section 9.3 shall affect the rights of any Apartment mortgagee whose mortgage is recorded prior to the recordation of such amendment and who does not consent thereto.

(d) Any holder or insurer of a duly filed first mortgage of an Apartment or any interest therein whose interest appears in the record of ownership of (or who has otherwise delivered a written request to) the Association shall be entitled to:

(i) Prior written notice of any proposed amendment to the Declaration or these By-Laws;

(ii) Prior written notice of any proposed termination of the Project;

(iii) Timely written notice of any actual or threatened condemnation or eminent domain proceeding affecting the Project or any portion thereof;

(iv) Written notice of any default of any Apartment Owner which is not cured within sixty (60) days;

(v) Written notice of any significant damage or destruction to the common elements or to an Apartment covered by the first mortgage held or insured by such party;

(vi) A copy of all pleadings filed in any lawsuit, administrative proceeding, or other action affecting the Project or any portion thereof, at such party's expense for reproduction costs and at such party's specific written request;

(vii) Prior written notice of any proposal to subdivide, encumber, sell or transfer the common elements or any part thereof; provided, however, that the granting of easements for public or private utilities or for the public purposes consistent with the intended use of the common elements of the Project and the relocation of any easements appurtenant to the Project over other lands pursuant to the exercise of any right to relocate such easements by the owner of such other lands shall not be deemed a transfer within the meaning of this clause.

SECTION 9.4 Release of Information.

The Board may provide any information available to it pertaining to an Apartment or the Project to the first mortgagee of such Apartment and such mortgagee may provide any information to the Board regarding the mortgagor, the mortgagor's loan and the status of such loan.

SECTION 9.5 Notification.

The Board shall give notification in writing to all holders of first mortgages on Apartments as shown in the Association's record of ownership or of which the Board has been given written notice, of any loss, or taking of, the common elements of the Project if such loss or taking exceeds ONE HUNDRED THOUSAND DOLLARS ($100,000). The Board shall give notification in writing to the holder of a first mortgage on any Apartment as shown in the Association's record of ownership or of which the Board has been given written notice, of any loss, or taking of, such Apartment if such loss or taking exceeds ONE THOUSAND DOLLARS ($1,000.00).

ARTICLE X — GENERAL PROVISIONS

SECTION 10.1 Right of Access.

The managing agent and any other person authorized by the Board (or, in case of an emergency, authorized by any Apartment Owner) shall have a right of access to any Owner's Apartment for the purpose of making inspections or correcting any condition existing in an Apartment and threatening another Apartment or the common elements, or for the purpose of performing installations, alterations or repairs to the mechanical or electrical services or other common elements in an Apartment or elsewhere in the Project, provided that requests for entry shall be made in advance and any such entry shall be at a time reasonably convenient to the Owner; provided further, however, that in case of an emergency, no prior request for entry need be made and such right to enter shall be deemed granted and effective immediately, whether the Owner is present at the time or not. If the Apartment Owner has elected not to provide keys to the Apartment to the managing agent or resident manager and a forced entry is reasonably required in the event of an emergency, the Apartment Owner shall be solely liable for all costs and expenses arising in connection with such forced entry, including all costs of replacing or repairing any part of the Apartment or the common elements damaged by or in connection with the forced entry.

SECTION 10.2 Amendment.

(a) *Required Percent.* Except as to those amendments requiring the prior written approval of all of the eligible mortgage holders as hereinafter provided, these By-Laws may be amended in any respect consistent with law or the Declaration by affirmative vote of sixty-five percent (65%) of all Apartment Owners at any meeting of the Association duly called for such purpose or by written consent of sixty-five percent (65%) of all Apartment Owners, and shall be effective only upon the recording in the Bureau of Conveyances of an instrument setting forth such amendment duly executed by the authorized officers of the Association; provided that each one of the particulars set forth in Section 514A-82(b) of the Act shall be embodied in these By-Laws always. Any proposed amendment to these By-Laws with the rationale for such proposal may be submitted by the Board or by a volunteer Apartment Owners' committee. If submitted by a volunteer Apartment Owners' committee, any proposed amendment to these By-Laws with the rationale for the proposal shall be accompanied by a petition signed by not less than twenty-five percent (25%) of the Apartment Owners whose names appear on the Association's list of members as provided in Section 10.9 of these By-Laws.

The proposed amendments to these By-Laws, the rationale, and the ballots for voting on such amendments shall be mailed by the Board to the Apartment Owners at the common expense of the Association for vote or written consent without change within thirty (30) days of the receipt of the petition by the Board. The vote or written consent required to adopt the proposed amendments to these By-Laws shall be sixty-five (65%) of all Apartment Owners; provided that the vote or written consent must be obtained within one hundred twenty (120) days after mailing. In the event that the proposed amendments to these By-Laws are duly adopted, then the Board shall cause the amendments to these By-Laws to be recorded in the Bureau of Conveyances. The volunteer Apartment Owners' committee shall be precluded from submitting a petition for proposed amendments to these By-Laws which are substantially similar to those which have been previously mailed to the Apartment Owners within one (1) year after the original petition was submitted to the Board. This Section 10.2(a) shall not preclude any Apartment Owner or voluntary Apartment Owners' committee from proposing any amendment to these By-Laws at any annual meeting of the Association.

(b) *Consent of Eligible Mortgage Holders.* Amendments of a material nature to these By-Laws shall require the prior written approval of not less than fifty-one percent (51%) of the eligible mortgage holders. Further, any amendment which would allow any action to terminate the Condominium Property Regime created by the Declaration for reasons other than substantial destruction or condemnation shall require the prior written approval of not less than sixty-seven percent (67%) of the eligible mortgage holders. The term "amendments of a material nature" as used herein shall mean and refer to any changes to these By-Laws relating to those matters set forth in Sections 16.4 and 16.5 of the Declaration. Any other changes to these By-Laws shall not be considered as amendments of a material nature. The term "eligible mortgage holders" as used in these By-Laws shall mean and refer to eligible mortgage holders as defined in Section 16.4 of the Declaration. The term "fifty-one percent (51%) of the eligible mortgage holders" shall mean eligible mortgage holders representing at least fifty-one percent (51%) or such other specified percentage of the votes of the Apartments that are subject to mortgages held by the eligible mortgage holders.

In the event that an eligible mortgage holder fails to appear at a meeting of the Association at which amendments to the By-Laws are proposed and considered, or fails to file a written response with the Association within thirty (30) days after it receives proper notice of the proposed amendment, delivered by certified or registered mail with a "return receipt" requested, then and in any such event such amendments shall conclusively be deemed approved by such eligible mortgage holder.

(c) *Restatement of By-Laws.* Any other provision of these By-Laws notwithstanding, the Board, upon resolution duly adopted, shall have the authority as set forth in the Act to restate these By-Laws from time to time to set forth any prior amendments hereto or to incorporate any provision mandated by Hawaii law or any amendments thereto.

SECTION 10.3 Condominium Documents for Board Members.

The Association, at its own expense, shall provide all Board members with a current copy of the Declaration, By-Laws, Rules and Regulations, and annually, a copy of the Act with amendments.

SECTION 10.4 Meeting Minutes; Financial Statements; Examination.

(a) Minutes of meetings of the Board of Directors and Association shall be approved at the next succeeding meeting; provided that for Board of Directors meetings, no later than the second succeeding meeting.

(b) Minutes of all meetings shall be available within seven (7) calendar days after approval and unapproved final drafts of the minutes of a meeting shall be available within sixty (60) days after the meeting; provided that the minutes of any executive session may be withheld if their publication would defeat the lawful purpose of the executive session.

(c) The Association's most current financial statement and minutes of the Board of Directors' meetings, once approved, shall be available to any Owner at no cost on twenty-four (24) hour loan, at a convenient location designated by the Board of Directors.

(d) Minutes of meetings of the Board of Directors and the Association for the current and prior year shall be available for examination by Apartment Owners and Apartment mortgagees at convenient hours at a place designated by the Board of Directors. Minutes of meetings shall include the recorded vote of each Board member on all motions except motions voted on in executive session. Copies of the minutes of the meetings of the Board and the Association shall be provided to any Apartment Owner upon such Owner's request provided that such Owner pay a reasonable fee for duplication, postage, stationery and other administrative costs associated with handling the request.

(e) Financial statements, general ledgers, the accounts receivable ledger, accounts payable ledgers, check ledgers, insurance policies, contracts and invoices of the Association for the current and prior year and delinquencies of ninety (90) days or more shall be available for examination by the Apartment Owners at convenient times at a place designated by the Board; provided that:

(i) The Board may require the Apartment Owners to furnish to the Association a duly executed and acknowledged affidavit stating that the information is requested in good faith for the protection of the interest of the Association or its members or both; and

(ii) The Apartment Owners pay for administrative costs in excess of eight (8) hours per year.

Copies of these items shall be provided to any Apartment Owner upon such Owner's request, provided that such Owner pay a reasonable fee for duplicating, postage and stationery and other administrative costs associated with the handling of the request.

(f) The Apartment Owners shall also be permitted to view proxies, tally sheets, ballots, Apartment Owners' check-in lists and the certificates of election for a period of thirty (30) days following any meeting of the Association; provided that:

(i) The Board may require the Apartment Owners to furnish to the Association a duly executed and acknowledged affidavit stating that the information is requested in good faith for the protection of the interest of the Association or its members or both; and

(ii) The Apartment Owners pay for administrative costs in excess of eight (8) hours per year. Proxies and ballots may be destroyed following the 30-day period. Copies of tally sheets, Apartment Owners' check-in lists and the certificates of election from the most recent meeting of the Association shall be provided to any Apartment Owner pay a reasonable fee for duplicating, postage, stationery and other administrative costs associated with handling such request.

(g) Owners may file a written request with the Board to examine other documents. The Board shall give written authorization or written refusal with an explanation of the refusal within thirty (30) calendar days of receipt of the request.

SECTION 10.5 Availability of Project Documents.

An accurate copy of the Declaration, these By-Laws, the Rules and Regulations, a sample original Apartment Deed, all public reports and any amendments thereto, shall be kept at the managing agent's office. The managing agent shall provide copies of those documents to Owners, prospective purchasers and their prospective agents during normal business hours, upon payment to the managing agent of a reasonable charge to defray any administrative or duplicating costs. In the event that the Project is not managed by a managing agent, the foregoing requirements shall be undertaken by a person or entity, if any, employed by the Association, to whom this function is delegated.

SECTION 10.6 Records; Examination; Disposal.

(a) The managing agent or Board of Directors shall keep detailed, accurate records in chronological order, of the receipts and expenditures affecting the common elements, specifying and itemizing the maintenance and repair expenses of the common elements and any other expenses incurred. The managing agent or Board of Directors shall also keep monthly statements indicating the total current delinquent dollar amount of any unpaid assessments for common expenses.

(b) All records and the vouchers authorizing the payments and statements shall be kept and maintained at the address of the Project or the office of the managing agent, or elsewhere within the State of Hawaii as determined by the Board of Directors and shall be available for inspection by the Directors, officers, Apartment Owners and Apartment mortgagees.

(c) Any managing agent employed or retained by the Association may dispose of the records of the Association which are more than five (5) years old without liability if the managing agent first provides the Board of Directors with written notice of the managing agent's intent to dispose of the records if not retrieved by the Board within sixty (60) days, which notice shall include an itemized list of the records which the managing agent intends to dispose of.

(d) No person shall knowingly make any false certificate, entry, or memorandum upon any of the books or records of the managing agent or the Association. No person shall knowingly alter, destroy, mutilate, or conceal any books or records of the managing agent or the Association.

SECTION 10.7 Animals.

[Section 10.7 amended in its entirety by Amendment, Bureau of Conveyances Doc No. A-72430789, recorded October 31, 2019. Cite the recorded original and that amendment, not this consolidation.]

(a) No livestock, poultry, rabbits or other animals whatsoever shall be allowed or kept in any part of the Project, except for fish and other aquarium animals as provided herein.

(b) Notwithstanding the provisions of Section 10.7(a), service animals or assistance animals shall be permitted to be kept by such Owners or Occupants in their Apartments and shall be allowed to walk throughout the common areas while under control of its handler. If such animal causes a nuisance or unreasonable disturbance or poses a threat to the health or safety of any Owner, Occupant or guest, the owner thereof will be given an opportunity to rectify the problem by measures which fall short of ejectment of the animal from the condominium. Ejectment will be required only if the Board reasonably determines that less drastic alternatives have been unsuccessful. If such an animal is ejected, it will nonetheless be allowed to remain at the Project for a reasonable period of time while the owner thereof attempts to find a suitable replacement animal, provided that the problem is controlled to a sufficient degree that the continued presence of the animal during that time does not constitute an unreasonable imposition upon, or threat to the safety or health of, other Owners, Occupants or guests.

(c) In no event shall the Board, the Association, the managing agent or resident manager be or be deemed to be liable for any loss, damage or injury to persons or property caused by or arising in connection with any Owner's or Occupant's animal. By acquiring an interest in an Apartment, each Occupant agrees to indemnify, defend and hold harmless the Board, the Association, the managing agent and the resident manager against any claim or action at law or in equity arising out of or in any way relating to such Owner's or Occupant's animal.

SECTION 10.8 Mediation/Arbitration of Disputes Concerning the Act, the Declaration, these By-Laws or the Rules and Regulations.

If a dispute arises concerning or involving one or more Apartment Owners and the Association, the Board, and managing agent of the other Apartment Owners relating to the interpretation, application or enforcement of the Act or the Declaration, these By-Laws or the Rules and Regulations, the parties involved in such dispute shall first try in good faith to settle the dispute by mediation under the Commercial Mediation Rules of the American Arbitration Association, before resorting to arbitration. Thereafter, at the request of any party, any remaining unresolved controversy, shall be submitted to arbitration as provided by Section 514A-121 of the Act. Nothing in this paragraph shall be interpreted to require the arbitration of any dispute which is either exempt from arbitration pursuant to Section 514A-121 of the Act or determined to be unsuitable for arbitration pursuant to Section 514A-122 of the Act.

SECTION 10.9 Membership List.

The resident manager or managing agent or Board of Directors shall keep an accurate and current list of members of the Association and their current addresses, the names and addresses of the vendees of any Apartment under an agreement of sale, if any, and the names and addresses of Apartment mortgagees, if any. The list shall be maintained at a place designated by the Board of Directors, and a copy shall be available, at cost, to any Apartment Owner, provided the Apartment Owner furnishes to the resident manager or managing agent or Board of Directors a duly executed and acknowledged affidavit stating that the list (a) will be used by such Owner personally and only for the purpose of soliciting votes or proxies or providing information to other Owners with respect to Association matters and (b) shall not be used by such Owner or furnished to anyone else for any other purpose.

Each Owner shall promptly record the Apartment Deed or other conveyance to him or his Apartment, and any mortgage of his interest in his Apartment, and file with the Board of Directors, through the managing agent, a copy of the Apartment Deed or other conveyance document, together with a copy of the Land Court certificate of title for the Apartment, showing title vested in the Owner. Each vendor of an Apartment under an agreement of sale shall promptly record the agreement of sale and file a copy of such document with the Board of Directors. Each Apartment Owner, vendor, vendee and Apartment mortgagee shall promptly notify the Board of Directors of any changes in his or its address.

SECTION 10.10 Notices.

All notices to the Association shall be either mailed or delivered to the members of the Board of Directors at their respective addresses as shown on the membership list, or to such other address as the Board of Directors may designate by notice to all Owners and all Apartment mortgagees. All notices to any Owner shall be either mailed or delivered to him at his address as shown on the membership list. All notices to Apartment mortgagees shall be mailed to their respective addresses as shown on the membership list, or to such other addresses as designated by them by notice to the Board of Directors. All notices shall be in writing and service of such notice shall be deemed complete upon the earlier of the date of actual delivery or, if mailed, the third day after the date of mailing, except notices of addresses and changes of addresses, which shall be deemed to have been given when received.

SECTION 10.11 Captions.

The captions of these By-Laws are inserted only as a matter of convenience and shall in no way define, limit or prescribe the scope of these By-Laws or the intent of any provision hereof.

SECTION 10.12 Pronouns.

All pronouns used in these By-Laws include the male, female, and neuter genders and include the singular and plural numbers, as the case may be.

SECTION 10.13 Interpretation.

The provisions of these By-Laws shall be liberally construed to effectuate the purpose of creating a uniform condominium project whereby the Owners of Apartments shall carry out and pay for the operation and maintenance of the Project as a mutually beneficial and efficient establishment.

SECTION 10.14 Severability.

The provisions of these By-Laws shall be deemed independent and severable, and the invalidity or unenforceability of any one provision shall not affect the validity or enforceability of any other provision.

SECTION 10.15 Changes in Law.

In the event any change in the Act shall result in a conflict or inconsistency between the provisions of these By-Laws and the Act, the provisions of the Act shall prevail.

IN WITNESS WHEREOF, the Developer has executed this instrument this 20th day of November, 2000.

MAKENA ESTATES L.L.C.

By [signature] Martin W. Quill Its: Manager Member

STATE OF HAWAII)) SS: COUNTY OF MAUI)

On this 20th day of November, 2000, before me appeared MARTIN W. QUILL, to me personally known, who, being by me duly sworn, did say that he is the Manager Member of MAKENA ESTATES L.L.C., a Hawaii limited liability company; that he executed the foregoing instrument as Manager Member of said company, and said Manager Member acknowledged said instrument to be the free act and deed of said company.

[notary signature] Notary Public, State of Hawaii Print Name: Karen T. Fujimoto My commission expires: 4/20/2003

(L.S.)

EXHIBIT "A"

All of that certain parcel of land (being portion(s) of the land(s) described in and covered by Royal Patent Grant No. 234 to Linton L. Torbert and William Wilcox) situate, lying and being at Makena, Honuaula, District of Makawao, Island and County of Maui, State of Hawaii, being LOT B of "CHANG SUBDIVISION", and thus bounded and described:

Beginning at the east corner of this parcel of land, on the northwesterly boundary of Lot 7-B (Map 4) of Land Court Application 1846, on the south side of Makena-Alanui Road, the coordinates of said point of beginning referred to Government Survey Triangulation Station "PUU IO" being 5,638.82 feet South and 19,164.14 feet West, and running by azimuths measured clockwise from true South:

1. 25° 42' 20" 49.00 feet along Lot 7-B (Map 4) of Land Court Application 1846;
2. 89° 02' 20" 52.00 feet along Lot 7-B (Map 4) of Land Court Application 1846;
3. 36° 37' 20" 148.00 feet along Lot 7-B (Map 4) of Land Court Application 1846;
4. 12° 32' 20" 75.00 feet along Lot 7-B (Map 4) of Land Court Application 1846;
5. 99° 32' 70.28 feet along the remainder of Grant 234 to Torbert and Wilcox;
6. 189° 32' 28.70 feet along the remainder of Grant 234 to Torbert and Wilcox;
7. 90° 13' 64.16 feet along the remainder of Grant 234 to Torbert and Wilcox;
8. 6° 18' 34.30 feet along the remainder of Grant 234 to Torbert and Wilcox;
9. 84° 59' 458.05 feet along the remainder of Grant 234 to Torbert and Wilcox;
10. 104° 19' 159.79 feet along the remainder of Grant 234 to Torbert and Wilcox;
11. 215° 07' 20" 222.70 feet along the remainder of Grant 234 to Torbert and Wilcox;
12. 220° 35' 20" 206.83 feet along the remainder of Grant 234 to Torbert and Wilcox;

13. 199° 10' 20" 153.94 feet along the remainder of Grant 234 to Torbert and Wilcox;
14. 292° 36' 658.76 feet along Lot 1 (Map 1) and Lot 324 (Map 42) of Land Court Application 1804 and along the South side of Makena-Alanui Road to the point of beginning and containing an area of 269,186 square feet or 6.180 acres, more or less.

Being the premises acquired by Warranty Deed from Samuel Malina, Jr., husband of Delores Jo Malina, et al., as Grantor, to Makena Estates LLC, a Hawaii limited liability company, as Grantee, dated March 1, 2000, recorded in the Bureau of Conveyances of the State of Hawaii as Document No. 2000-039542.

SUBJECT, HOWEVER, to the following:

1. Reservation in favor of the State of Hawaii of all mineral and metallic mines.
2. The terms and provisions, including the failure to comply with any covenants, conditions and reservations, contained in Subdivision Agreement (Three Lots or Less) dated November 4, 1994, recorded in the said Bureau of Conveyances as Document No. 95-027759, between Edward Chang, Robyn Lehua Ponty, Jason Keone Pang, Janice P. Hachbarth, Ernest Chang, Gordon Chang, Gayle N. Morihara, Kenneth Chang, John K. Chang, Jr., Elizabeth Pearl Chang, Johnnie Dano, Johanna Thoene, Florence Gartrell, Elizabeth Chang, Helene Kellett Hart, Melvin Kellett, Esther M. Poplardo, Steven N. Chang, David K. Chang, Clifford Chang, Laverne Chang, Solomon Chang, Phillip Chang, Frank Chang, Samuel Malina, Jr., Louis Fernandez, III, Randolph Fernandez, Helaine Chock, and Patricia E. Chang, "The Owners", and the County of Maui, a body politic and corporate and a political subdivision of the State of Hawaii, "County".
3. The terms and provisions, including the failure to comply with any covenants, conditions and reservations, contained in Subdivision Agreement (Three Lots or Less) dated November 4, 1994, recorded in the said Bureau of Conveyances as Document No. 95-027760, between Edward Chang, Robyn Lehua Ponty, Jason Keone Pang, Janice P. Hachbarth, Ernest Chang, Gordon Chang, Gayle N. Morihara, Kenneth Chang, John K. Chang, Jr., Elizabeth Pearl Chang, Johnnie Dano, Johanna Thoene, Florence Gartrell, Elizabeth Chang, Helene Kellett Hart, Melvin Kellett, Esther M. Poplardo, Steven N. Chang, David K. Chang, Clifford Chang, Laverne Chang, Solomon Chang, Phillip Chang, Frank Chang, Samuel Malina, Jr., Louis Fernandez, III, Randolph Fernandez, Helaine Chock, and Patricia E. Chang, "The Owners", and the County of Maui, a body politic and corporate and a political subdivision of the State of Hawaii, "County".
4. The terms and provisions, including the failure to comply with any covenants, conditions and reservations, contained in Unilateral Agreement dated November 23, 1998, recorded in the said Bureau of Conveyances as Document No. 99-034542, by Malia Aina, Ltd.
5. Claims arising out of customary and traditional rights and practices, including without limitation those exercised for subsistence, cultural, religious, access or gathering purposes, as provided for in the Hawaii Constitution or the Hawaii Revised Statutes.
6. Any lien (or claim of lien) for services, labor or material arising from an improvement or work related to the land described herein.
7. Discrepancies, conflicts in boundary lines, shortage in area, encroachments or any other matters which a correct survey or archaeological study would disclose.

END OF EXHIBIT "A"

Tax Key: 2-1-007-101 (2)

Certification and Supersession (DRAFT — pending counsel review and officer execution)

Restatement certification (HRS §514B-109(a), (c)). The undersigned officers of the Association of Apartment Owners of Nā Hale O Mākena certify that the foregoing restated By-Laws correctly set forth, without substantive change, the By-Laws of the Association recorded as Document No. 2000-166796, as amended by the instruments recorded as Document Nos. 2001-096485, A-72430789, and A-80670873, and that this restatement consolidates those instruments solely to set forth all amendments in a single document.

Supersession. Upon recording, these restated By-Laws supersede and replace the original By-Laws (Doc No. 2000-166796) and all prior amendments thereto (Doc Nos. 2001-096485, A-72430789, and A-80670873), which are consolidated herein.

Note. Working draft; not executed, not recorded. No substantive change has been made to any provision. Provisions that may warrant conforming to current law (e.g., the §10.2(a) amendment-threshold percentage of "sixty-five percent (65%)") are intentionally left as originally written and are addressed separately under HRS §514B-109(b).

Dated: ______________________, 2026

ASSOCIATION OF APARTMENT OWNERS OF NĀ HALE O MĀKENA

By: _____ Its: President

By: _____ Its: Secretary